Materials Management (MM)

This case study explains an integrated materials management process in detail. This promotes a thorough understanding of each process step and the underlying SAP functions.

Product

S/4HANA 2023
Global Bike

Fiori 3.0

Level

Bachelor's degree
Masters
Beginner

Focus

Materials Management

Authors

Bret Wagner
Stefan Weidner

Version

4.3.1

Last Change

October 2025

MOTIVATION

In the exercises for Materials Management, a procurement process was tracked with master and transaction data that had already been created.

This case study explains and executes a complete material procurement process from the creation of master data, through purchasing to payment for the delivered goods.

PREREQUISITES

Before you process the case study, you should familiarize yourself with the navigation in the SAP system.

To successfully perform this MM case study, it is not necessary to have completed all MM exercises. However, it is recommended.

NOTES

This case study uses the model company Global Bike, which was developed exclusively for SAP UA Curricula.

SAP University Alliances

© SAP UCC Magdeburg

Process Overview

Learning objective Understand and execute an integrated procurement process.

Time 170 min

Scenario To process a complete procurement process, you will assume various roles within Global Bike, for example: Purchaser, Warehouse Worker, Accounting Clerk. In general, you will work in the Materials Management (MM) and Financial Accounting (FI) departments.

Employees involved		
	Joyce Hausman	(Contract Manager)
	Sandeep Das	(Warehouse Supervisor)
	Sergey Petrov	(Warehouse Employee)
	Wilton Saban	(Inventory Supervisor)
	Alberto Conti	(Inventory Assistant)
	Aura Maxwell	(Purchasing Agent 2)
	Tatiana Karsova	(Goods Receipt Clerk)
	Silvia Cassano	(AP Accountant)
	Shuyuan Chen	(Head of Accounting)

Before you start the procurement process, you must create a new supplier (Mid-West Supply from Lincoln). You then create the new master record for a trading good (chain closing) in the system. After the stock is checked (empty), you initiate the procurement by creating a purchase requisition. You then generate a request for quotation and maintain the quotations for three different vendors (including your new vendor). After evaluating and accepting the bid from Mid-West Supply, you create a purchase order with reference to the original purchase quotation. You will then post the goods receipt document and confirm the physical receipt into warehouse stock. After creating two partial invoices, you will post the payment to the supplier and finally check all involved G/L accounts in financial accounting. The following graphic shows the entire process.

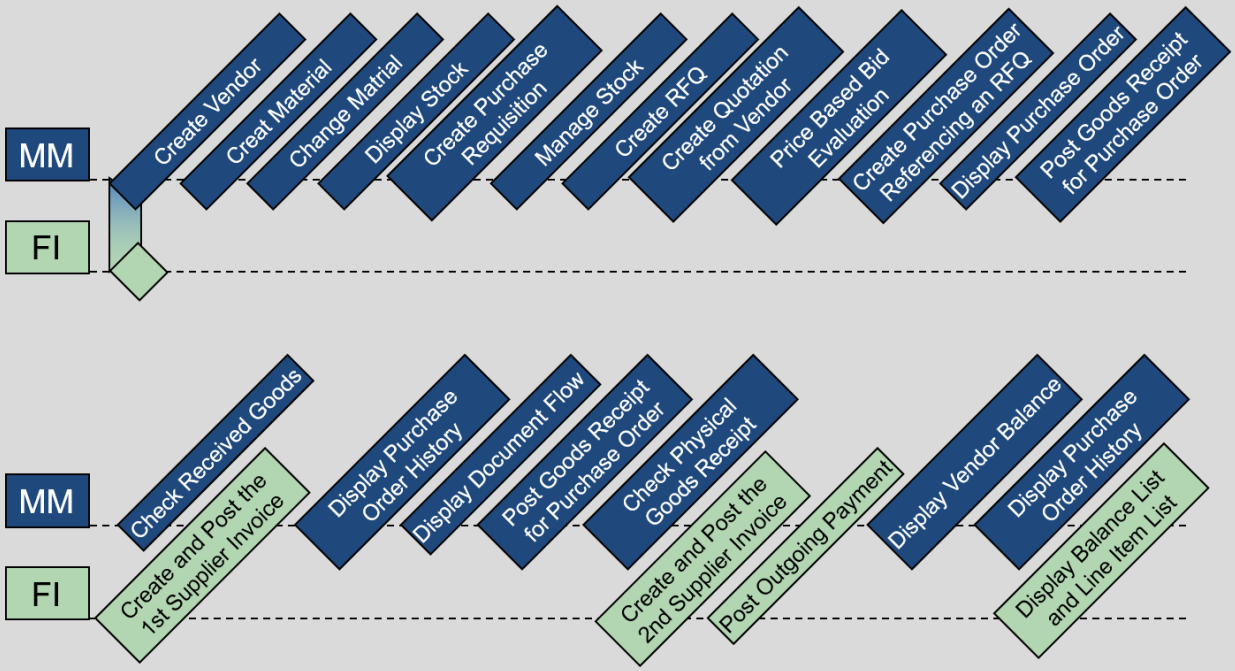


Table of Contents

Process Overview 2
Step 1: Create Vendor 4
Step 2: Create Material 8
Step 3: Change Material 13
Step 4: Display Stock 15
Step 5: Create Purchase Requisition 18
Step 6: Manage Stock 20
Step 7: Create RFQ 22
Step 8: Create Quotation from Vendor 24
Step 9: Price Based Bid Evaluation 26
Step 10: Create Purchase Order Referencing an RFQ 28
Step 11: Display Purchase Order 32
Step 12: Post Goods Receipt for Purchase Order 33
Step 13: Check Received Goods 37
Step 14: Check Physical Goods Receipt 40
Step 15: Create and Post the First Supplier Invoice 42
Step 16: Display Purchase Order History 45
Step 17: Display Document Flow 47
Step 18: Post Goods Receipt for Purchase Order 49
Step 19: Check Physical Goods Receipt 51
Step 20: Create and Post the Second Supplier Invoice 53
Step 21: Post Outgoing Payment 56
Step 22: Display Supplier Balance 58
Step 23: Display Purchase Order History 60
Step 24: Display account balances 62
MM Challenge 64

Step 1: Create Vendor

Task Create a new supplier. **Time** 20 min

Description Use the SAP Fiori launchpad to create a new supplier (Mid-West Supply).

Name (position) Joyce Hausman (Contract Manager)

Vendor Master

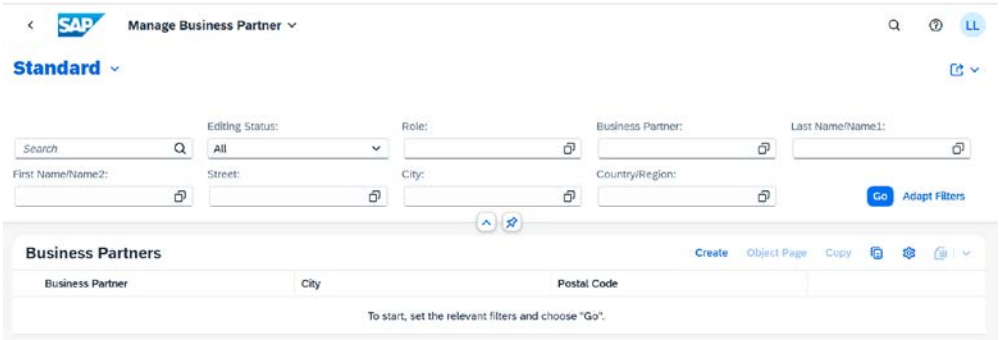
Suppliers are used in both financials and procurement. The master record of a vendor includes 3 categories – General Data, Finance, and Procurement. Vendors can be created centrally or with shared responsibilities. During central creation, all views are generated in one step and by one person. In the case of shared responsibility, finance and procurement create the views that are relevant for them. In this case study, the vendor is created centrally. As a result, the vendor master record contains all the information required to perform business transactions.

Start

To create a new supplier, go to the *Materials Management* space. In the role of *Contract Manager*, you can use the *Manage Business Partner Master Data* app.



The following screen appears:



Organization

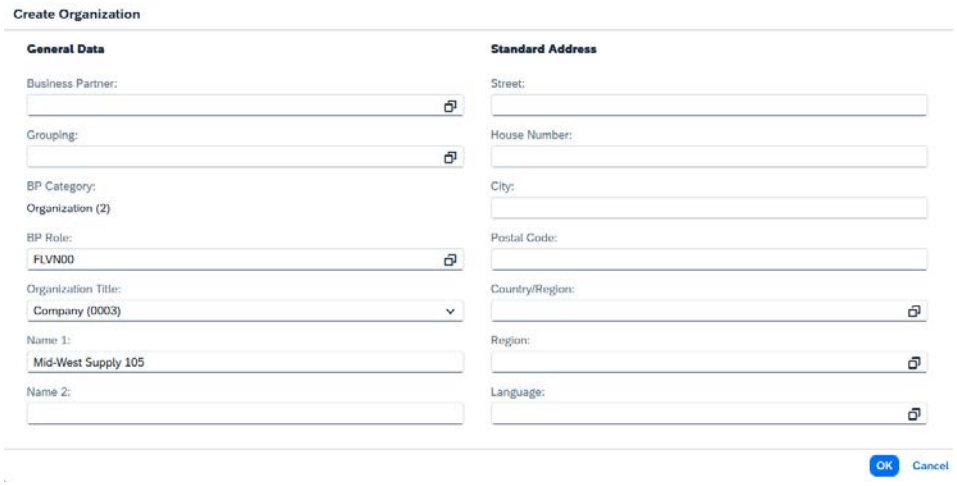
On the *Manage Business Partners* screen, choose Create and **Organization**.

FLVN00

In the *Create Organization* popup window, leave the Business Partner field blank. The system will generate a unique number later. In the *BP Role* field, click and in the *Select: BP Role* window, select **FI Vendor (FLVN00)**.

For the *Organization Title* field, select **Company (0003)** and enter **Mid-West Supply ###** as the *Name 1*. Compare your entries with the following screenshot.

Company (0003)
Mid-West Supply ###

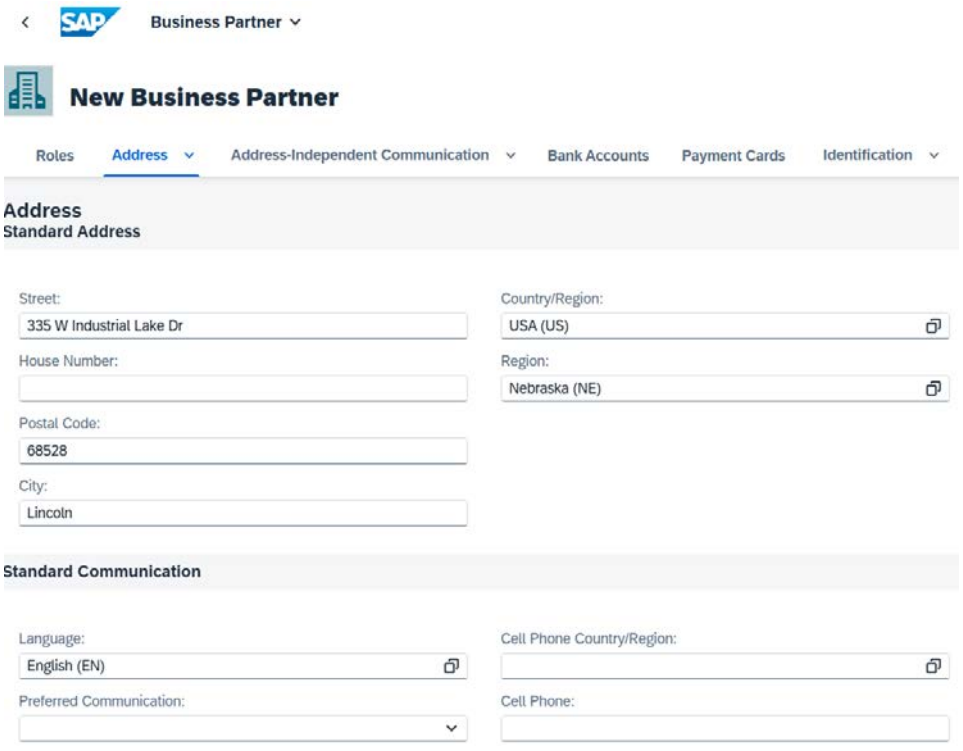


Click OK. In the *Business Partner* view, in the *Basic Data* area, enter your three-digit number (*###*) as *Search Term 1*.

###

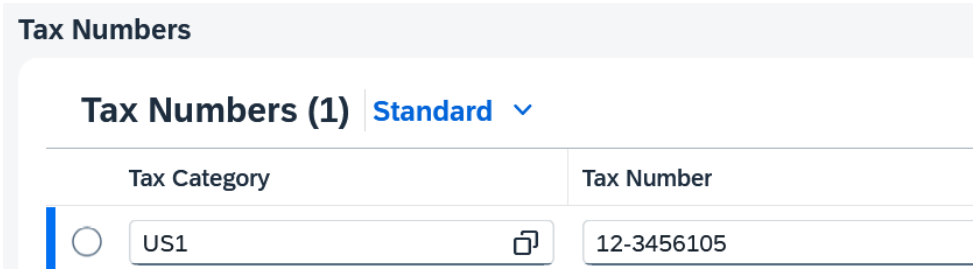
Go to the *Address* area and in the *Street* field, enter **335 W Industrial Lake Dr**, for *Postal Code* **68528**, for *City*, enter **Lincoln**, for *Country* **US** and *Region* **NE**. Under *Standard Communication*, select **English (EN)** as the *Language*. Compare your entries with the following screenshot.

335 W Industrial Lake Dr
68528 Lincoln
US
NE
English



Go to the *Identification* tab and click Create in the *Tax Numbers* section. In the line that appears, enter **US1** *as the Tax Category* and **12-3456###** as the *Tax Number* – replace ### with your number.

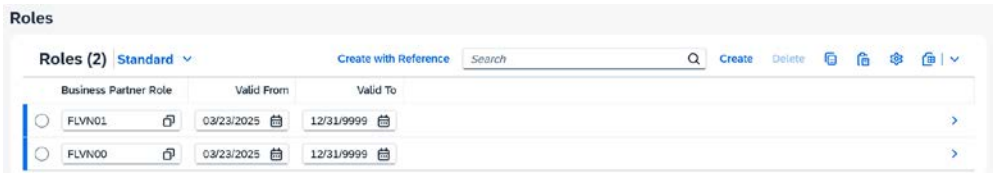
US1
12-3456###



Now go back to the *Roles* area and click Create. Choose **Vendor (FLVN01)** as the *Business Partner Role*.

FLVN01

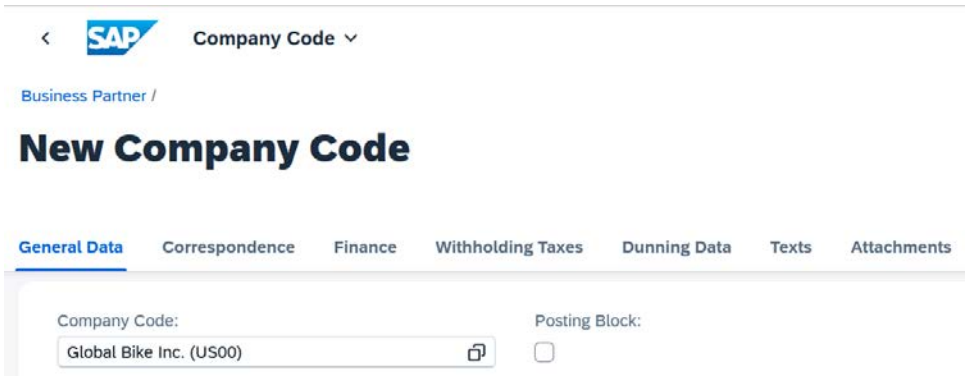
Now click › in the row of the newly created business partner role.



You can now maintain company code-specific data for your business partner in the role of the vendor. Go to the *Company Codes* area and click Create.

On the *New Company Code* screen, enter **US00** in the *Company Code* field. Select the value in the selection help that appears automatically. Confirm with Enter.

US00



Switch to the *Finance* tab and enter **3300000 (Trade payables)** for the *Reconciliation Account*. In the Payment Data section, enter **0001 (Payable immediately Due net)** as the *Payment Terms* and select **Check Double Invoice**. Compare your entries with the following screenshot.

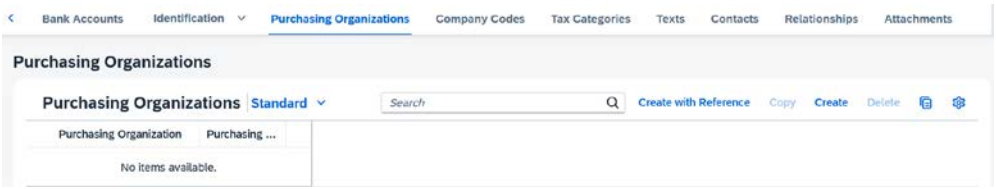
3300000
0001
Check Duplicate Invoice



Now switch to the *Correspondence* area. Enter **your user** (LEARN-###) as the *Clerk ID at Supplier*. Now click Apply in the lower screen area.

Your User

Back on the *New Business Partner* screen, go to the *Purchasing Organizations* area to enhance your Mid-West Supply business partner with purchasing-specific data.



Click Create in the *Purchasing Organization* window. In the *Purchasing Organization* field, enter **US00**.

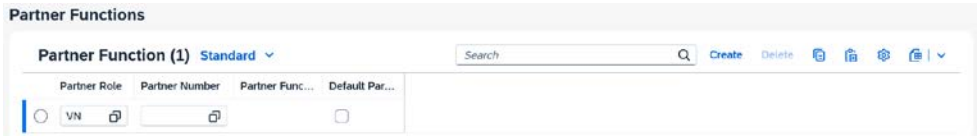
US00

On the *Purchasing Organizations* tab, enter **USD** as the *Order Currency* and use the **F4 help** to search for the *Payment Terms* **Payable immediately Due net (0001)**.

USD
Payable immediately
Due net (0001)

Navigate to the *Partner Functions* tab. Click on Create and enter the partner role **VN** for vendor and press Enter.

VN



Click Apply to transfer your purchasing-specific data for your business partner. Then click Apply and then Create. The system automatically assigns a unique number to your supplier.



Click on the home icon to go to the Fiori Launchpad Overview.

Step 2: Create Material

Task Create the material master record for a trading good. **Time** 20 min

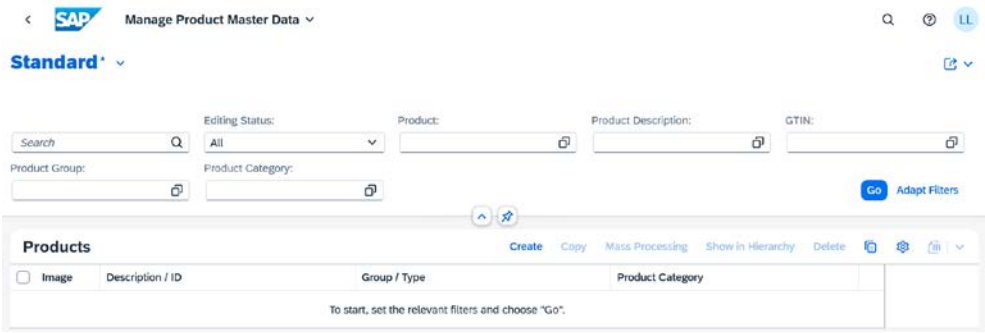
Description Use the SAP Fiori launchpad to create the wholesale chain lock master data.

Name (position) Sandeep Die (Warehouse Supervisor)

To create materials, go to the *Materials Management* space. In the role of *Warehouse Supervisor*, you can use the *Manage Product Master Data* app.

Start

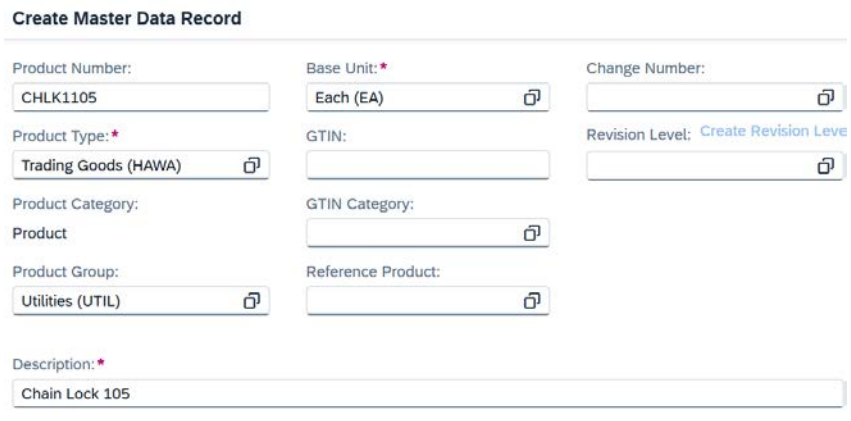




On the Manage *Product Master Data* screen, click Create.

In the *Create Master Data Record* dialog box that appears, enter **CHLK1###** as the *Product Number* and **HAWA (Trading Goods)** as the *Product Type*. Enter **EA (Each)** as the base unit of measure for the *Product Group* **UTIL (Utilities)**. Furthermore, enter **Chain Lock ###** as the description.

CHLK1###
HAWA
UTIL
EA
Chain Lock ###

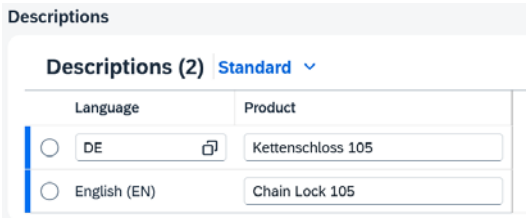


Press OK. On the *General Information* tab page in the *Basic Data* section, enter **Accessories (AS)** for the *Division*.

Accessories (AS)

In the *Descriptions* section, click Create. Enter the *Product* **Kettenschloss ###** for L*anguage* DE (German), replace ### with your number. Confirm your entries with Enter.

Kettenschloss ###



Scroll down to the *Units of Measure* section. At the end of the line in which the unit of measure EA is already entered, click ›.

On the *Unit of Measure* screen, on the *Dimensions* tab page, enter **65** for the *Gross Weight* and **OZ (ounce)** as the *Unit*.

65
OZ



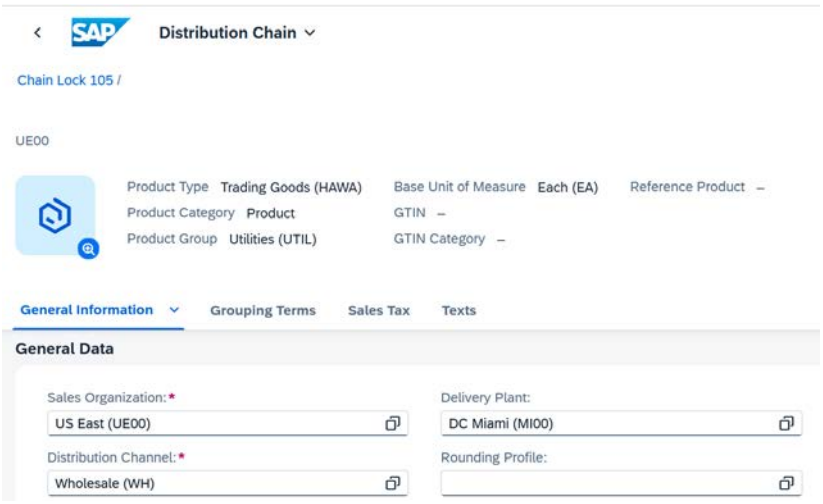
Click Apply.

Now go to the *Sales* area and enter **0001 (On pallets)** as the *Transportation Group*. Afterwards, navigate to the *Distribution Chains* area and choose Create .

0001

On the *Distribution Chain* screen, enter *Sales Organization* **UE00 (US East)**, *Distribution Channel* **WH (Wholesale)**, and *Delivery Plant* **MI00 (DC Miami)**.

UE00
WH
MI00



In the *Grouping Terms* area, choose **NORM (Standard item)** for the *Item Category Group*.

NORM

Go to the *Sales Tax* area and choose *Tax Classification* **0 (Exempt)** for all three tax categories.

0 (Exempt)



Click Apply.

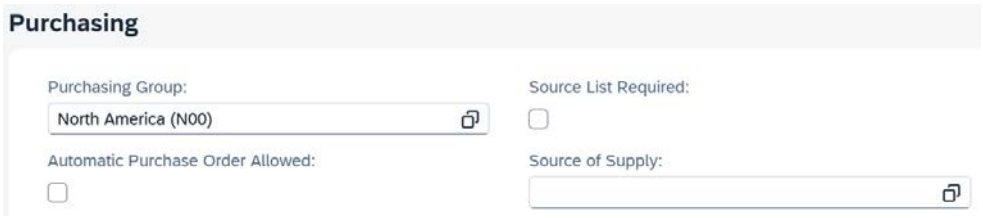
Back on the *Product* screen, navigate to the *Plants* area and click Create. On the *Plant* screen, in the *General Data* section, enter **MI00 (DC Miami)** for *Plant* and in the *Sales* section, enter **Hand lift** for *Loading Group*.

MI00
Hand lift



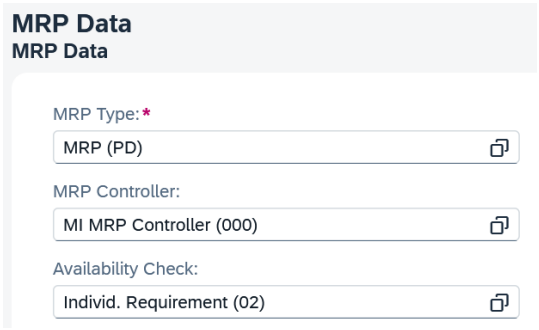
Now go to the *Purchasing* area and enter **N00 (North America)** as the *Purchasing Group*.

N00



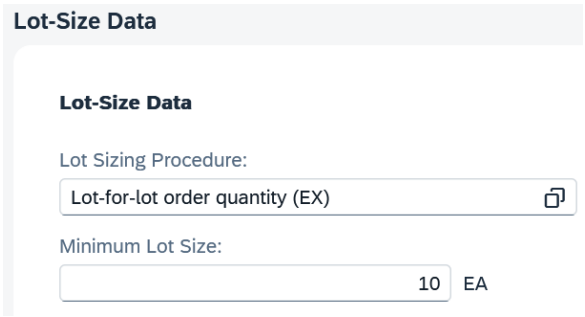
Go to the *MRP Data* area and enter the *MRP Type* **PD (MRP)**, the *MRP Controller* **000 (MI MRP Controller)**, and the *Availability Check* **02 (Individual Requirement)**.

PD
000
02



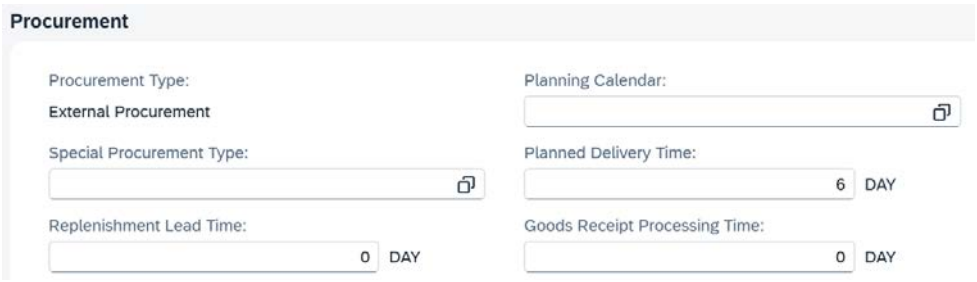
In the *Lot-Size Data* section, enter **EX (Lot-for-lot order quantity)** as the *Lot Sizing Procedure* and **10** as the *Minimum Lot Size*.

EX
10



In the *Procurement* section, for *Planned Delivery Time*, enter **6** (days).

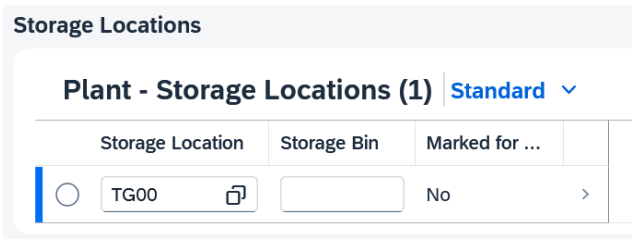
6



Switch to the *Storage Locations* tab page and choose Create.

Enter **TG00 (Trading Goods)** for the *Storage Location* field.

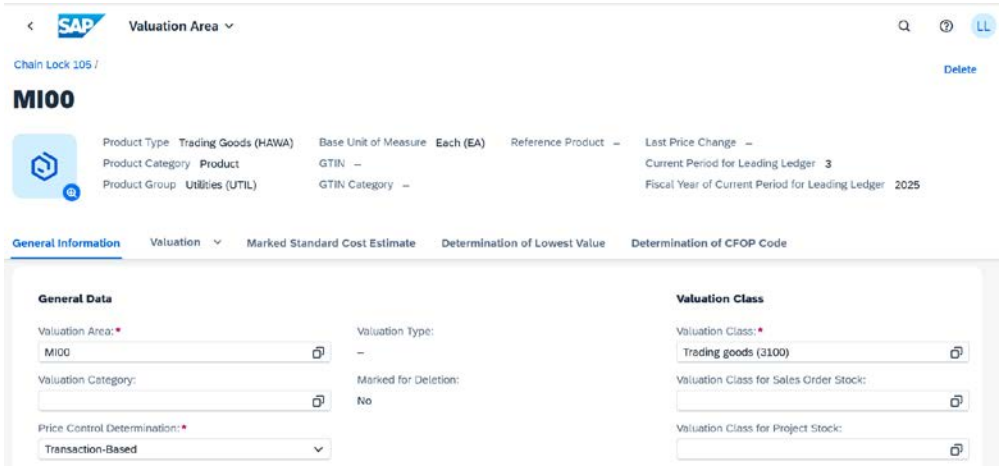
TG00



Click Apply.

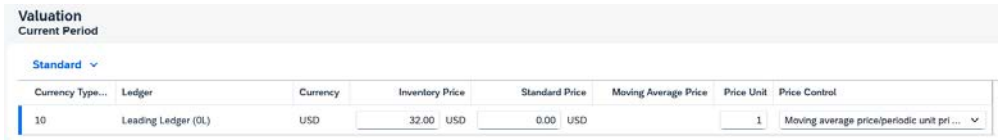
On the *Product* screen, please navigate to the *Valuation Areas* area and click Create. On the *Valuation Area* screen, enter *Valuation Area* **MI00** and *Valuation Class* **3100 (Trading goods)**.

MI00
3100



Go to the *Valuation* area and enter **32.00** USD as the *Inventory Price* and ensure that **Moving Average Price/Periodic Unit Price (V)** is selected for *Price Control*.

32.00



Click Apply and then click Create. Your material has now been created.

Click on the home icon to go to the Fiori Launchpad Overview.

Step 3: Change Material

Task Extend a material master record. **Time** 5 min

Description Extend the distribution chain of the new trading goods (chain closure) to enable the San Diego plant to maintain another condition.

Name (position) Sergey Petrov (Warehouse Employee)

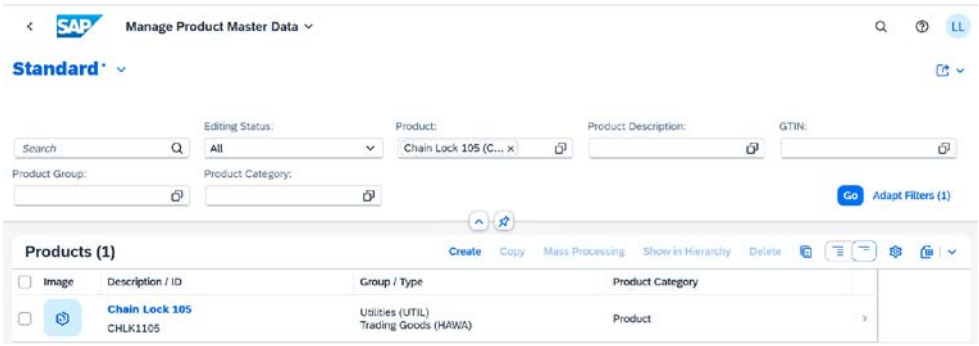
To create new views for a trading good, please go to the *Materials Management* space. In the role of *Warehouse Employee*, you can use the *Manage Product Master Data* app.

Start



Enter your material number **CHLK1###** (replace ### with your number) in the *Product* field and click Go.

CHLK1###



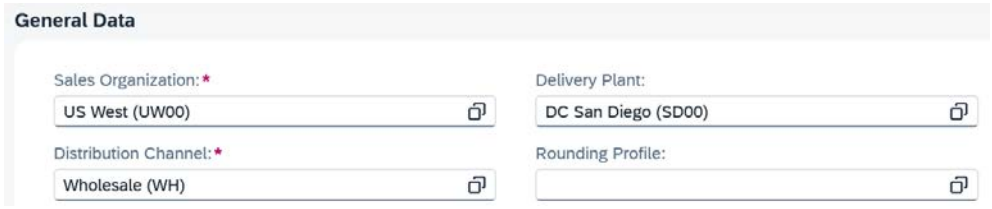
Click on the line with your material.

On the *Product* screen, click Edit.

Navigate to the *Distribution Chains* area and click Create.

On the *Distribution Chain* screen, in the *General Information* section, enter *Sales Organization* **UW00 (US West)**, *Distribution Channel* **WH (Wholesale)**, and *Delivery Plant* **SD00 (San Diego)**.

UW00
WH
SD00



In the *Grouping Terms* area, choose **0001 (Make-to-order)** for the *Item Category Group*.

0001

In the *Sales Tax* area, ensure that *Tax Classification* **0 (Exempt)** is entered for all three tax categories.

0 (Exempt)



Click Apply and then click Save.

Finally, press SAP to get to the Fiori Launchpad Overview.

Step 4: Display Stock

Task Display the current stock. **Time** 5 min

Description View the current stock for your chain lock and the demand for this product. The report should show that there is no provision for this and therefore no lock is currently available.

Name (position) Wilton Saban (Inventory Supervisor)

The stock is dynamic. As a result, it always changes when the affected material is used in a transaction.

Stock

To display the stock, go to the *Materials Management* space. In the role of *Inventory Supervisor*, you can use the *Stock - Single Material* app.

Start

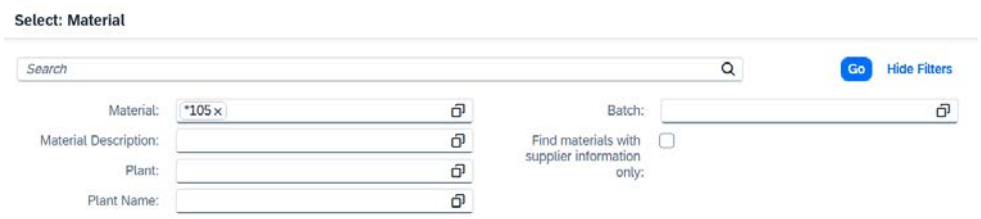


You will be directed to the following screen.

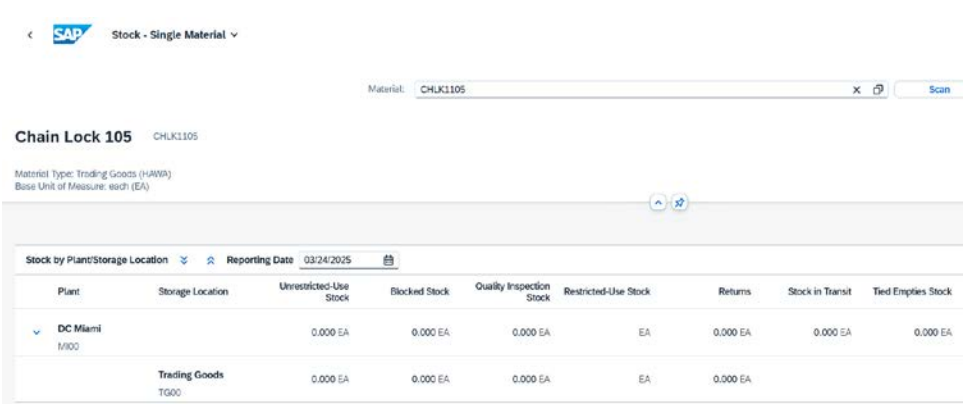


To find the material number of your bike lock, click in the *Material* field and then click . In the *Material* field, enter your number in the format ***###**.

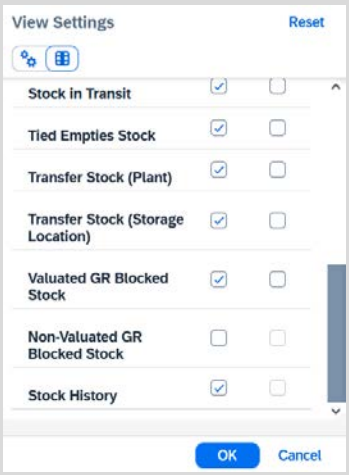
*###



Click Go to search. Double-click your material CHLK1###. Your stock should look like this:

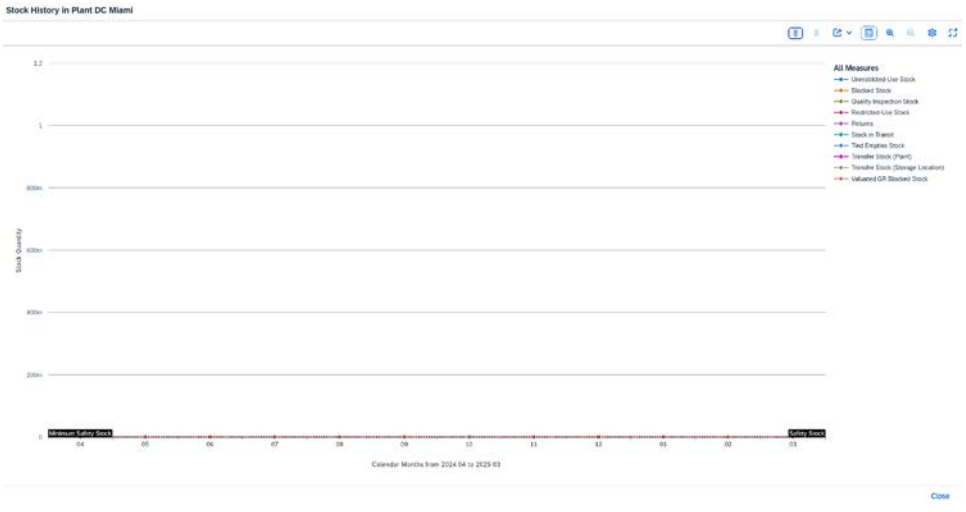


Note If you do not see the *Stock history* column, click on and then on and select *Stock history*.



Then click on OK.

In the DC Miami row, in the *Stock History* column, click the ——— icon. The system will now display the stock history of your material CHLK1### in DC MI00.



Note Since the material has just been created and no stocks have been posted yet, the stock history in all key figures is 0.

Close the window and click the Home button  to return to the SAP Fiori launchpad.

Step 5: Create Purchase Requisition

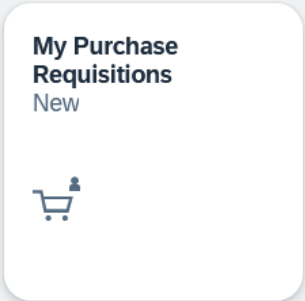
Task Create a purchase requisition. **Time** 5 min

Description The sales management has informed the purchasing department that an advertising campaign is starting in 3 months to introduce the new chain key. Create a demand (purchase requisition) for 200 of your locks so that you can choose the supplier that best meets your needs from any quotations.

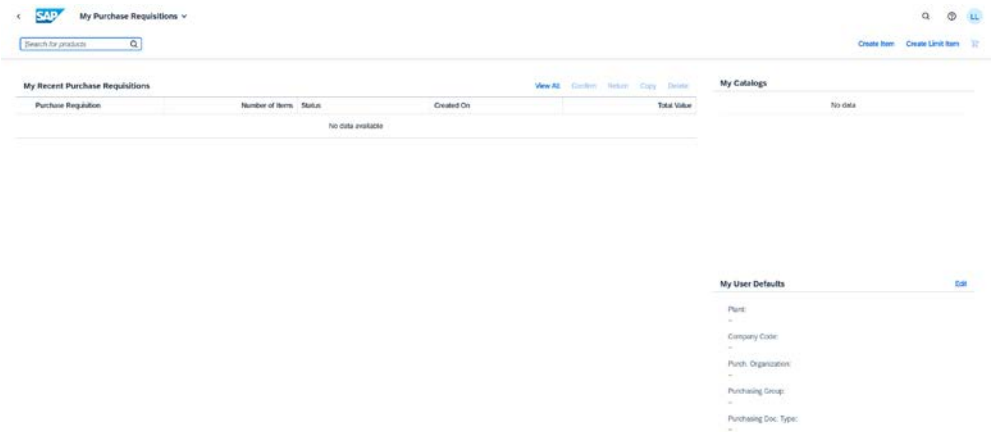
Name (position) Wilton Saban (Inventory Supervisor)

To create a purchase requisition, please go to the *Materials Management* space. In the role of *Inventory Supervisor*, you can use the *My Purchase Requisition - New* app.

Start



You should now see the following screen.



Click Create Item.

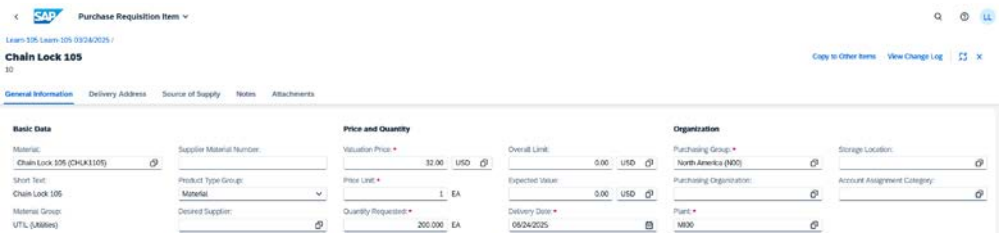
Enter *Material* **CHLK1###** (## - replace with your number), press Enter. The Short Tex, Material Group, Valuation Price und Price Unit will be added automatically.

CHLK1###

Enter **200** as the *Quantity Requested*. For the *Delivery Date*, you choose **today in 3 months**.

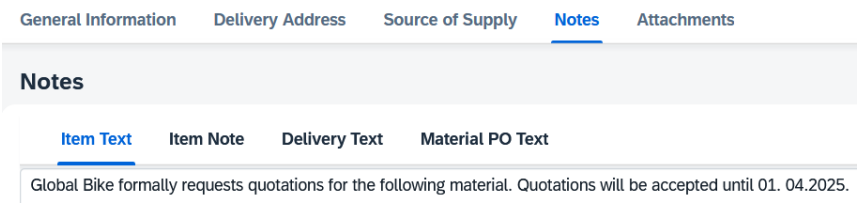
200
Today in 3 months

Note The requested quantity is displayed with three decimal places. Therefore, your 200 is displayed as 200.000.

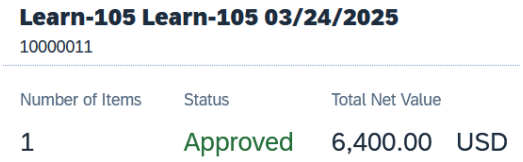


At the very end, enter the following message under the Notes heading and on the *Item text* tab page:

"Global Bike formally requests quotations for the following material. Quotations will be accepted until [01.day of next month]."



Click Apply and then to Order.



Close the notification and then click SAP to go to the SAP Fiori launchpad.

Step 6: Manage Stock

Task Manage the stock. **Time** 5 min

Description Display the stock/requirements list of your existing chain key and check which requirements exist for this product.

Name (position) Alberto Conti (Inventory Assistant)

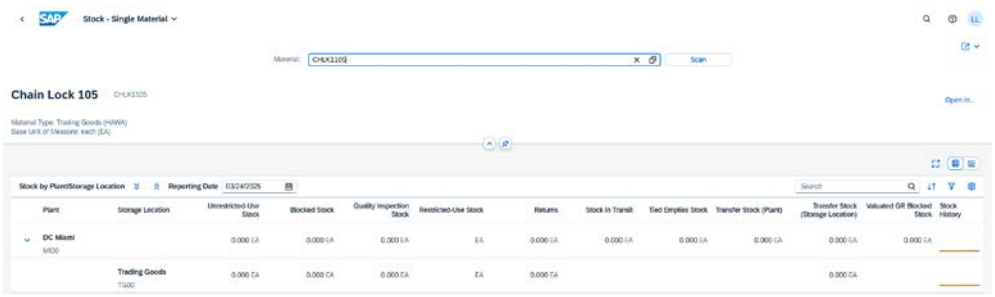
Please go to the *Materials Management* space. In the role of *Inventory Assistant*, you can use the *Stock (Single Material)* app to display the stock/requirements list.

Start



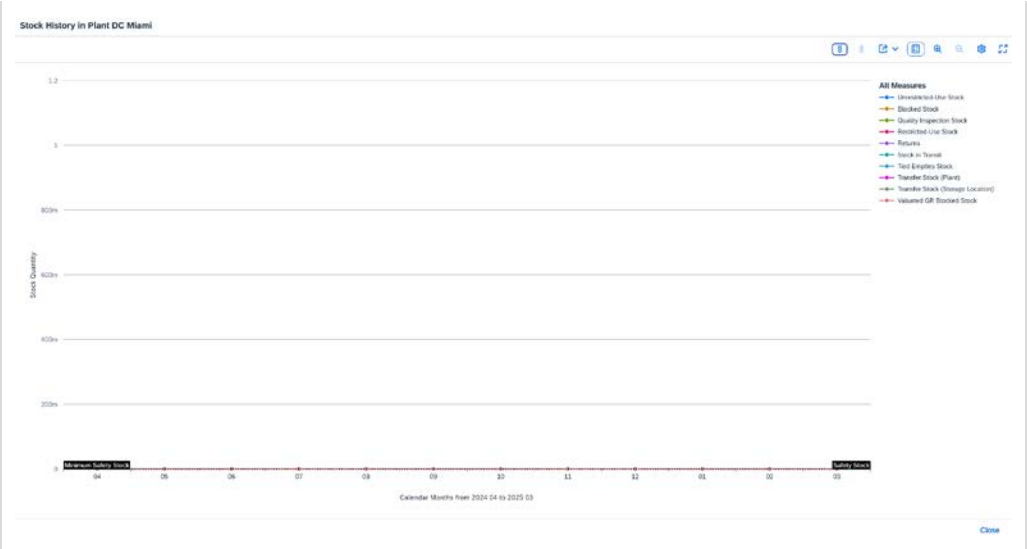
On the *Stock – Single Material* screen, in the *Material* field, enter your chain lock **CHLK1###**. Your warehouse/demand list should look similar to the screenshot below.

CHLK1###



In the DC Miami row, in the Stock History column, click the icon ———.

The system will now display the stock history of your material CHLK1### in DC MI00.



Note As you can see, the creation of the purchase requisition has not influenced the stock development.

Click SAP to go to the SAP Fiori launchpad

Step 7: Create RFQ

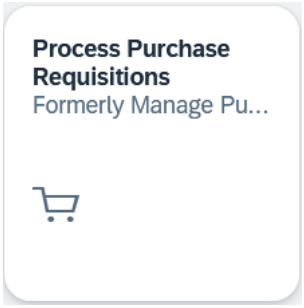
Task Create a request for quotation for your purchase requisition. **Time** 5 min

Description Create one request for each supplier. This is used to collect all relevant information (such as pricing, delivery, and so on) that is needed to select the supplier that best meets your requirements.

Name (position) Aura Maxwell (Purchasing Agent 2)

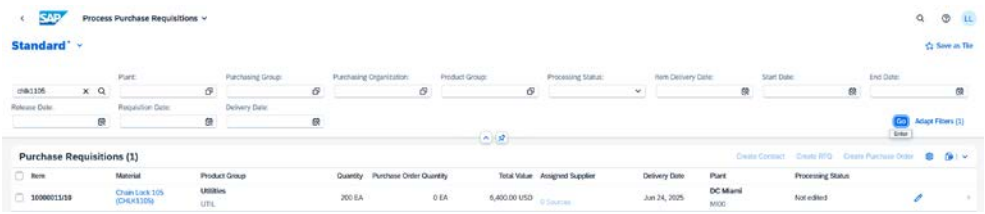
To create a request for quotation for your purchase requisition, go to the *Materials Management* space. In the role of *Purchasing Agent*, you can use the *Process Purchase Requisitions* app.

Start



In the *Search* field enter your material **CHLK1###** and click Go .

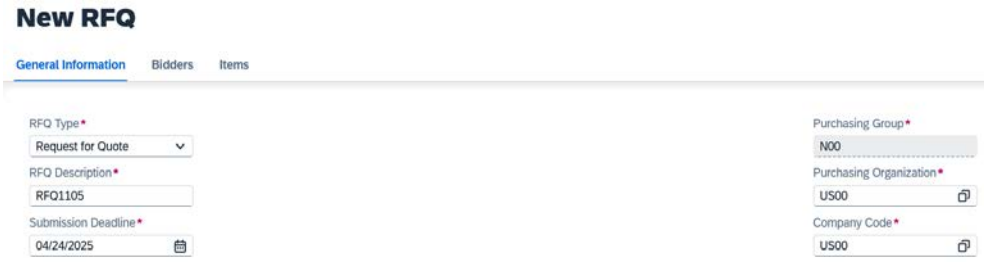
CHLK1###



Select the row with your Purchase Requisition and click Create RFQ .

In the *Process Purchase Requisitions* window enter **Request for Quote** as *RFQ Type*, **RFQ1###** as *RFQ Description*, **one month from today** as the *Quotation Deadline*, **US00** for the *Purchasing Organization* and *Company Code*.

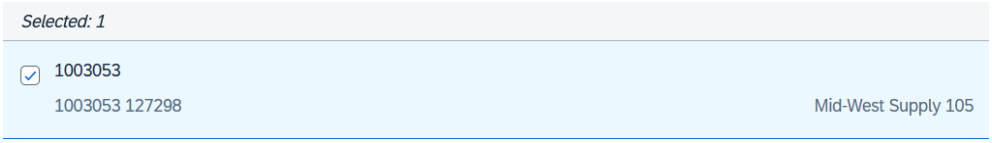
Request for Quote
RFQ1###
One month from today
US00
US00



In the *Bidders* area click on + to add a new bidder.

Search for your supplier **Mid-West Supply ###**. Please make sure selecting your supplier from the proposal list and click Select to add them as bidder.

Mid-West Supply ###



Repeat this procedure to add the suppliers **Dallas Bike Basics** and **Spy Gear** as bidders.

Dallas Bike Basic
Spy Gear

Note You recognize your supplier by the last three digits of the supplier number. For example, supplier number 103**105** represents supplier Dallas Bike Basics for user LEARN-**105**.

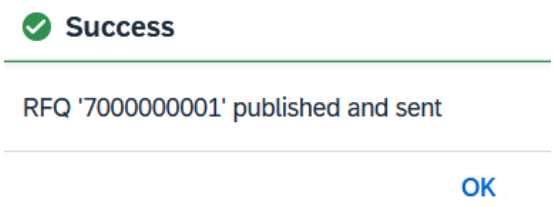


Note that in the *Items* section your purchase requisition was added.



Click Publish and confirm the pop up with Publish.

You will get a success message.



Close the pop up and click SAP to go to the SAP Fiori launchpad.

Step 8: Create Quotation from Vendor

Task Maintain the quotation from a supplier. **Time** 10 min

Description After receiving responses to our purchase requisition from our suppliers, it is necessary to maintain the respective information in our procurement system in order to create comparability with which we can support the choice of supplier.

Name (position) Alberto Conti (Inventory Assistant)

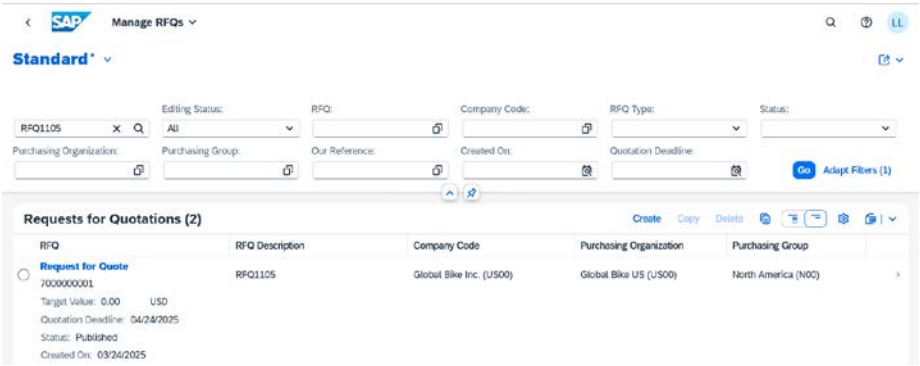
Go to the *Materials Management* space. In the role of *Inventory Assistant*, you can use the *Manage RFQs* app to create a request for quotation for your purchase requisition.

Start

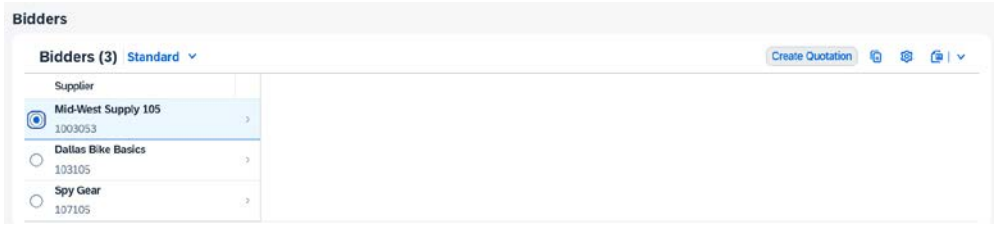


In the *Search* field enter **RFQ1###** and click Go.

RFQ1###

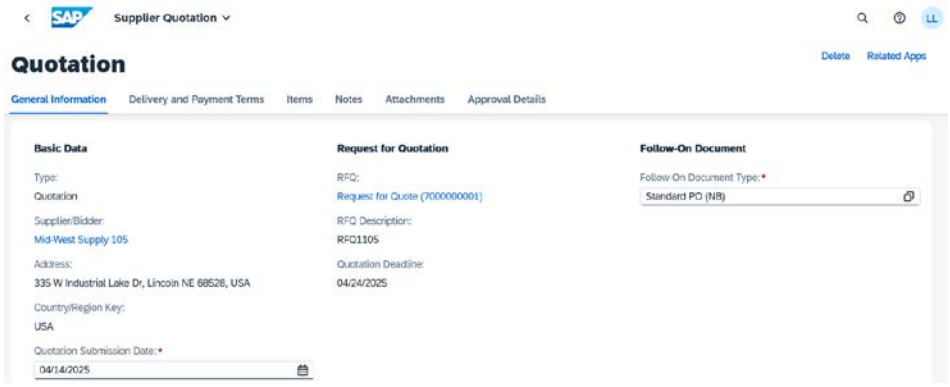


Click on the row with your Request for Quote. Go to the *Bidders* area. Select your bidder Mid-West Supply ### and click Create Quotation to create a quotation.



In the *Supplier Quotation* window enter **three weeks from today** as *Quotation Submission Date* and **NB** as *Follow-On Document Type.*

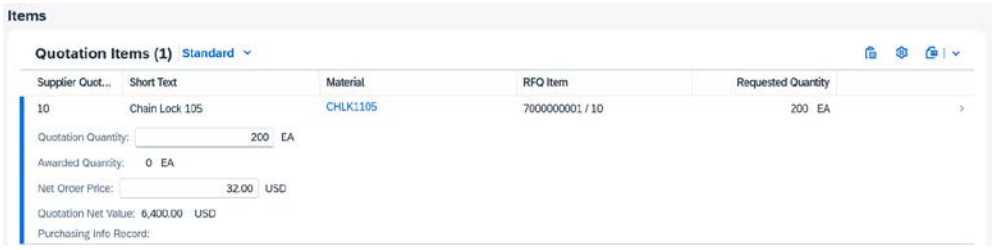
Three weeks from today
NB



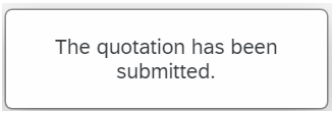
Note The submission date must not be after the end of the bid period. You can find the quotation deadline under *General Information.*

In the *Items* area enter **32.00** USD as *Net Order Price.*

32.00



Click Create to create the Quotation. Click Submit to submit the Quotation. If you don't see the Submit button, enlarge your browser window.



Click ‹ to return to the *Request for Quotation* window. The quotation from your supplier Mid-West Supply ### can now be found in the *Quotations* area.

Repeat this process for the other two bidders. Enter the following prices:

Dallas Bike Basics	**36.50** USD
Spy Gear	**35.00** USD

Dallas Bike Basics
36.50
Spy Gear
35.00

Make sure you save both requests and take note of the success messages.



Click SAP to go to the SAP Fiori launchpad. Confirm any notes by choosing OK.

Step 9: Price Based Bid Evaluation

Task Evaluate the quotes based on the price. Reject two of the three offers. **Time** 5 min

Description Generate a quotation price comparison list from the quotations from the individual vendors. The quotation price comparison list sorts the quotations from lowest to highest.

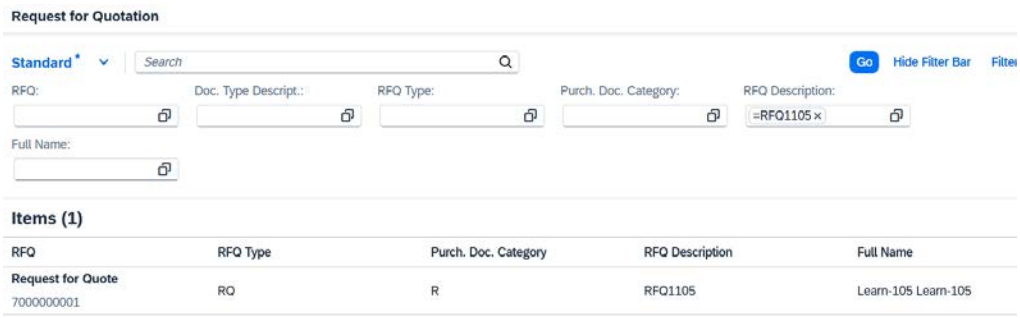
The successful vendor (Mid-West Supply) was selected using the criterion of the most favorable quotation. It is now necessary to inform the subordinate providers of the rejection of their offers.

Name (position) Wilton Saban (Inventory Supervisor)

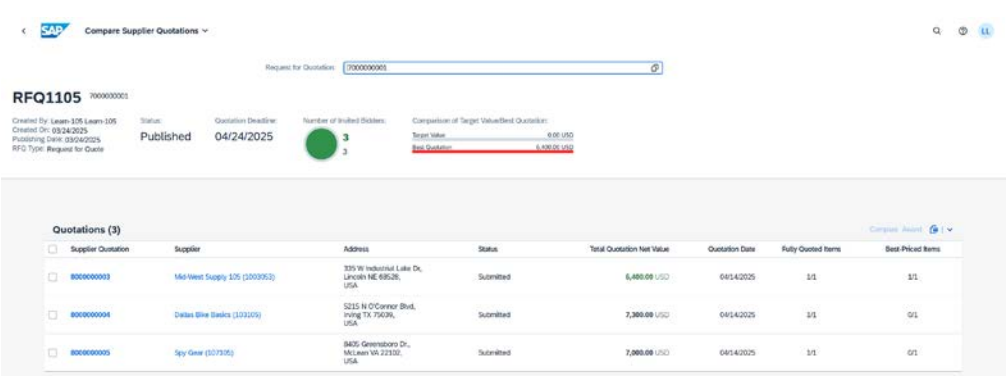
Go to the *Materials Management* space. In the role of *Inventory Supervisor* section, you can use the C*ompare Supplier Quotations* app to reject a quotation. Start



Search for your Request for Quotation by using the **F4 help**. Enter the **RFQ1###** as *RFQ Description* and click Go. RFQ1###



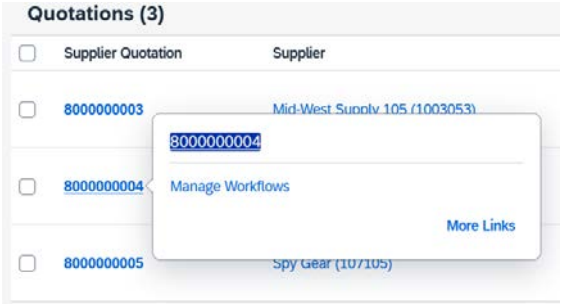
Select your RFQ.



Compare the quotes and select the best one, in this case the quotation from Mid-West Supply ###. Choose the best quote and click Award.

Note For the best offer the *Total Quotation Net Value* is highlighted in green.

Reject the other two offers. To do this click on the Supplier *Quotation number*.



Then click on the *Quotation number* again.

In the *Supplier Quotation* window click on Complete (top right).

Note If your browser window is too small, the *Complete* button will be hidden under ooo.

Click ‹ to return to the *Compare Supplier Quotations* window.

Repeat this procedure to also reject the second quotation.

Click SAP to go to the SAP Fiori launchpad. Confirm any notes by choosing OK.

Step 10: Create Purchase Order Referencing an RFQ

Task Create a purchase order with reference to a request for quotation. **Time** 15 min

Description Create a purchase order that refers to the successful supplier's quote. The details are then imported into the new purchase order.

Name (position) Alberto Conti (Inventory Assistant)

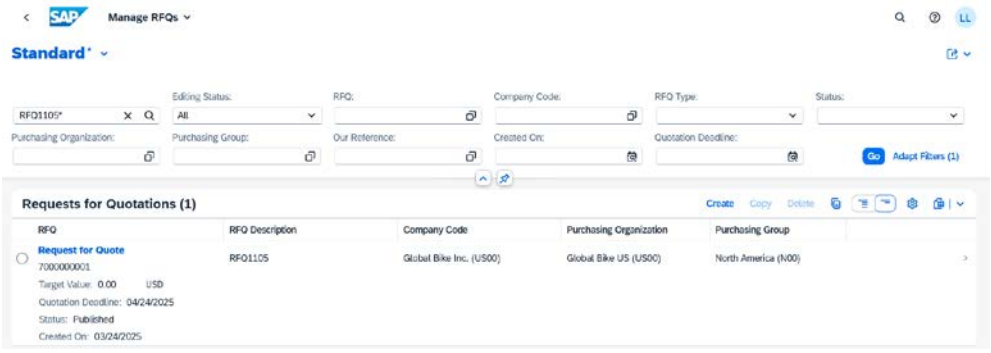
Go to the *Materials Management* space. In the role of *Inventory Assistant*, you can use the *Manage RFQs* app to create a purchase order for your purchase requisition.

Start

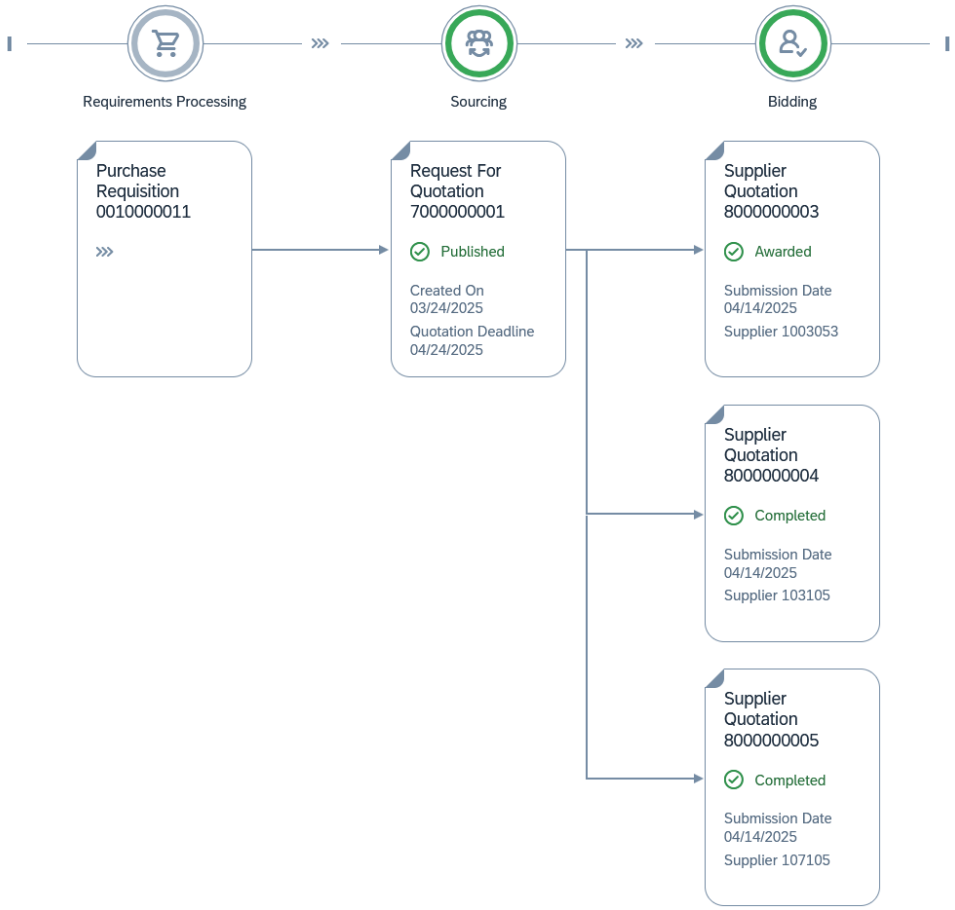


In the *search field* enter **RFQ1###*** and click Go.

RFQ1###*

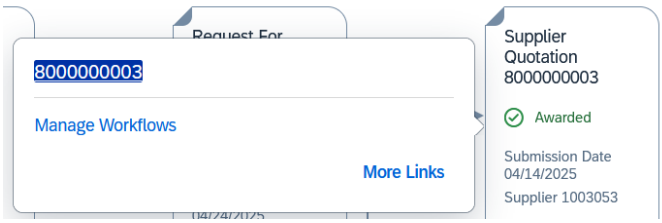


Open your RFQ and go to the *Process Flow* area.

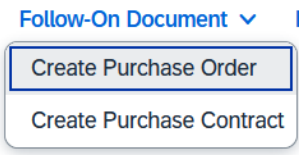


You see your purchase requisition followed by the associated RFQ and the three supplier quotations. Two of the three offers have already been rejected, as indicated by the comment completed.

Click on the Supplier Quotation with the comment Awarded and then on *Quotation number*.



To create a purchase order from the quotation click in the *Supplier Quotation* window on Follow-On Document and then on Create Purchase Order.



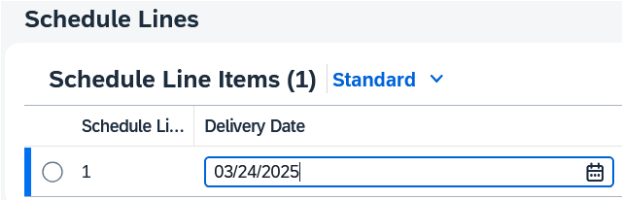
In the *Purchase Order* screen go to the *Items* area. You see one entry with your CHLK1### material.

We want to split the delivery into two partial deliveries. Change the *Order Quantity* from 200 to **100**. Select the entry and click Copy.

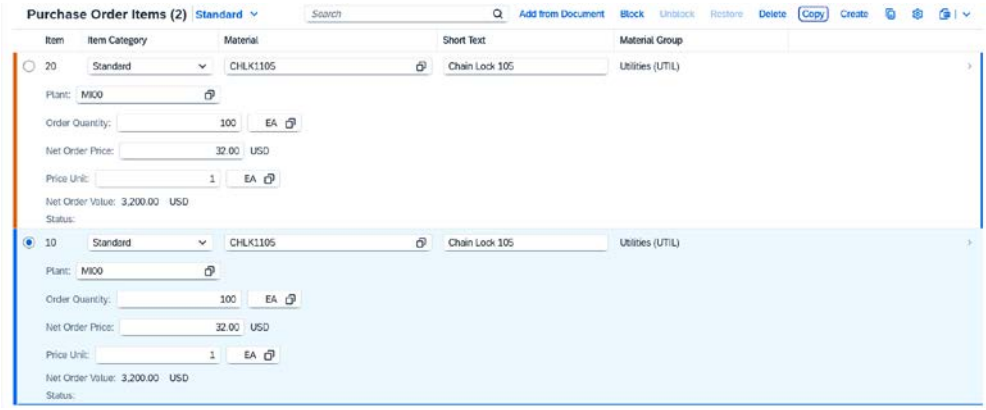
200→ 100

In the *Purchase Order Item* screen go to the *Schedule Lines* area and change the *Delivery Date* to **Today's date**.

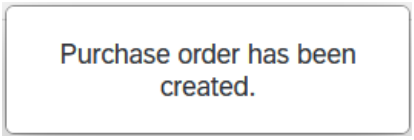
Today's date



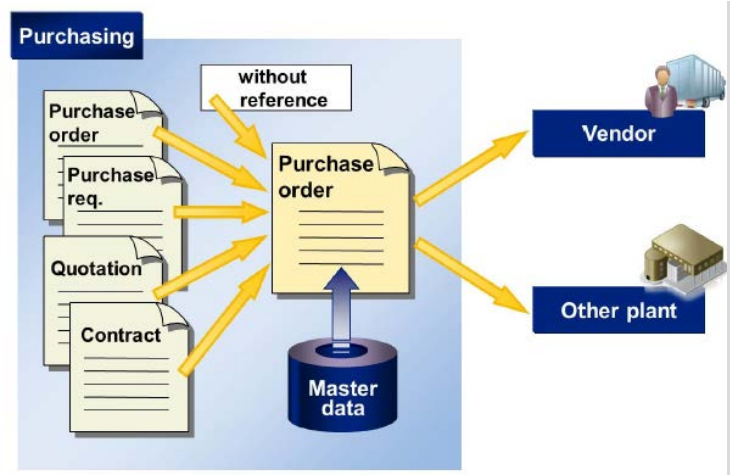
Click on Apply.



Click on Order to save the purchase order.

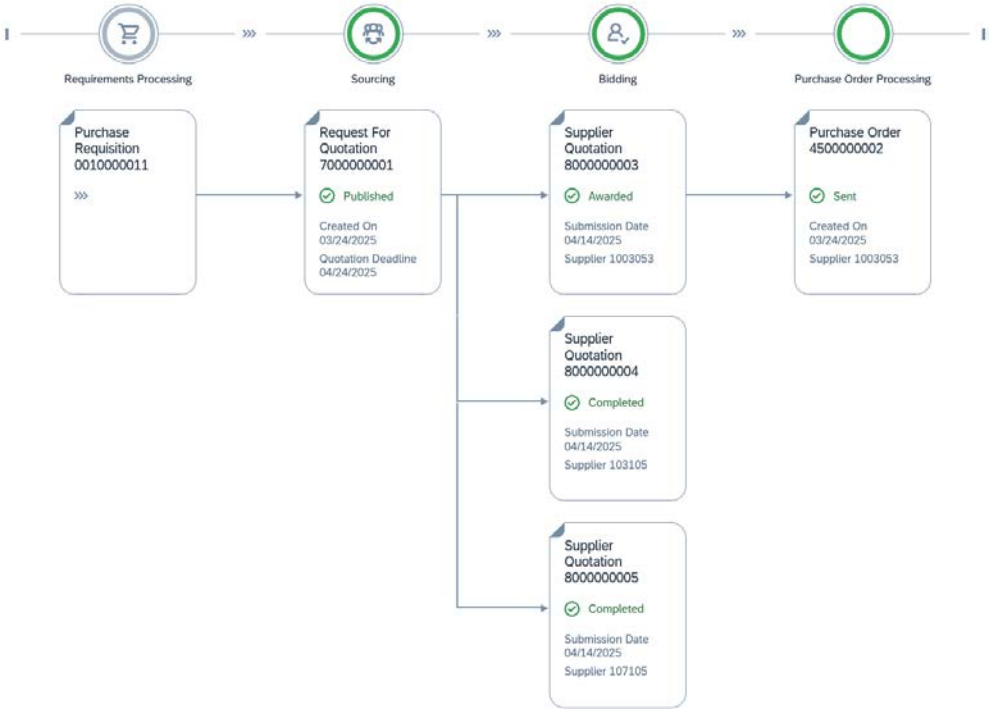


Note A purchase order is a formal request to a vendor to deliver goods or services according to the conditions of the purchase order. Several objects can trigger a purchase order (see graphic).



Goods receipt and invoice verification are usually based on the purchase order.

Click ‹ until you have returned to the *Request for Quotation* screen. Take another look at the *Process Flow*. The quotation is now followed by a purchase order.



Click SAP to go to the SAP Fiori launchpad. Confirm any notes by choosing OK.

Step 11: Display Purchase Order

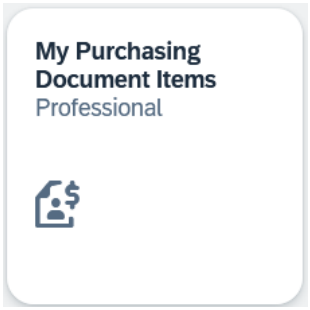
Task Display your purchase order. **Time** 5 min

Description You now want to look in the system at what you have sent to the vendor.

Name (position) Aura Maxwell (Purchasing Agent 2)

To display the purchase order, please go to the *Materials Management* space. In the role of *Purchasing Agent*, you can use *My Purchasing Document Items (Professional)* app.

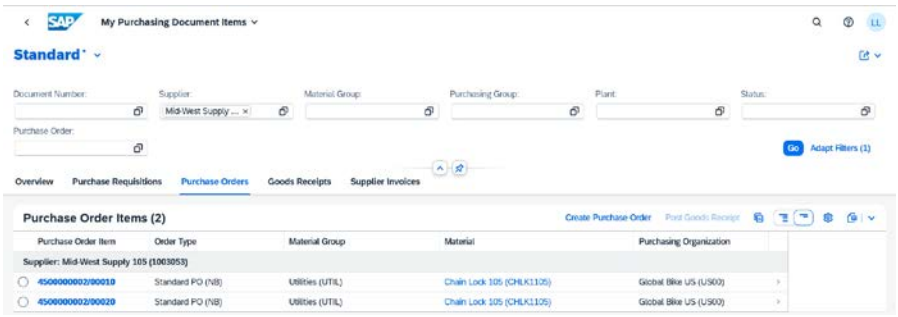
Start



The app provides you with an overview of all purchase requisitions, purchase orders, goods receipts, and supplier invoices. In the *Supplier* field, enter **Mid-West Supply ###** and choose Go. Afterwards, go to the Purchase Orders tab.

Mid-West Supply ###

You may need to scroll down to see your supplier and purchase order.



Click SAP to go to the SAP Fiori launchpad.

Step 12: Post Goods Receipt for Purchase Order

Task Create a goods receipt posting for your purchase order. **Time** 5 min

Description You receive the goods that you ordered in the previous step from Mid-West Supply into your inventory. A goods receipt posting is created that refers to your purchase order. The stock is increased, and a financial document is created that posts the value of the goods correctly.

Name (position) Tatiana Karsova (Goods Receipt Clerk)

To post the goods receipt, please go to the *Materials Management* space. In the role of *Goods Receipt Clerk*, you can use the *Post Goods Receipt for Purchasing Document* app.

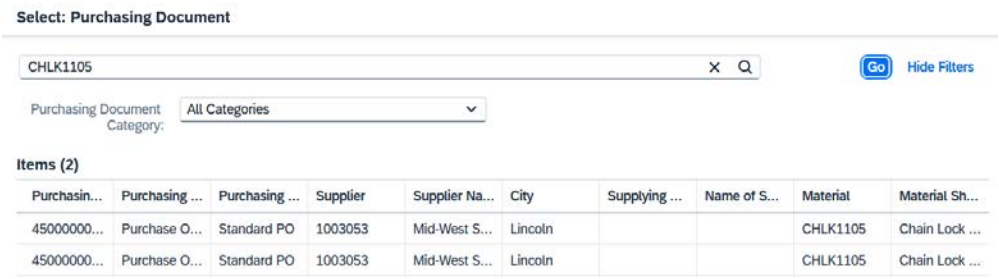
Start



Enter **your purchasing document number** in the *Purchasing Document* field. If you want to search for your purchasing document number, use the **F4 help**. In the search field, enter **CHLK1###** and then click Go.

Your purchase order number

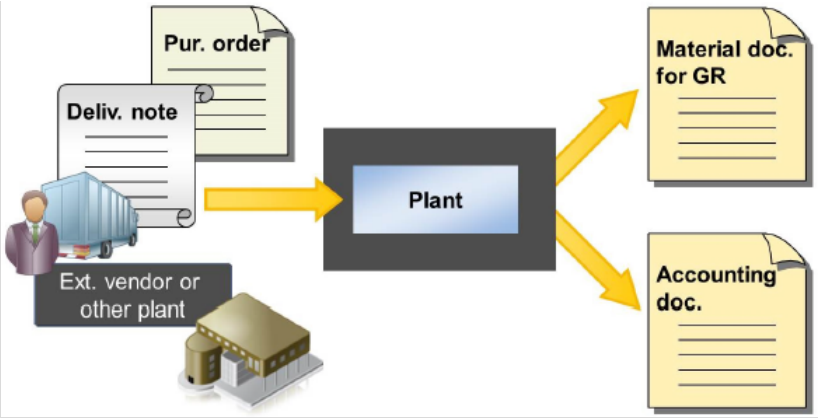
CHLK1###



Then select the **first of your purchase orders** by double-clicking it. You can now see your splitted purchase order.

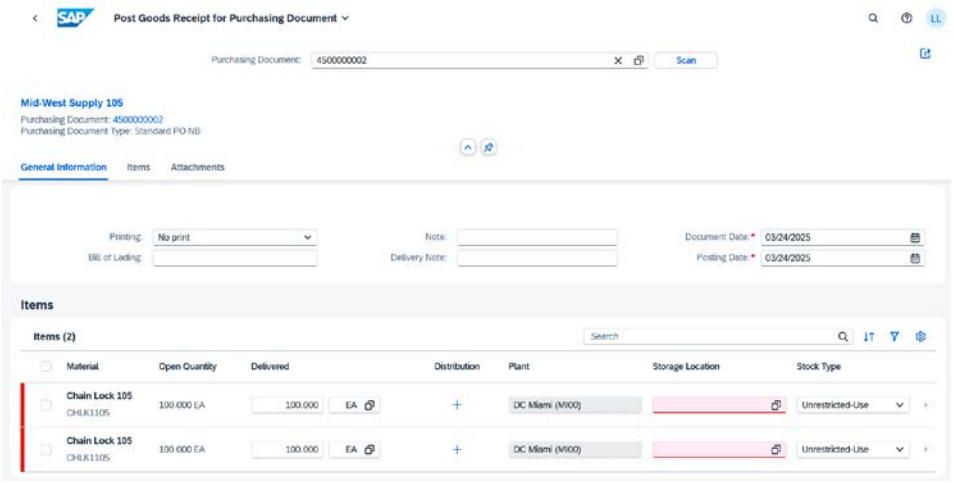
First of your orders

Note If goods are delivered for a purchase order, you document a goods receipt with reference to the purchase order. The system checks the purchase order and copies only the open purchase order items to the goods receipt transaction.



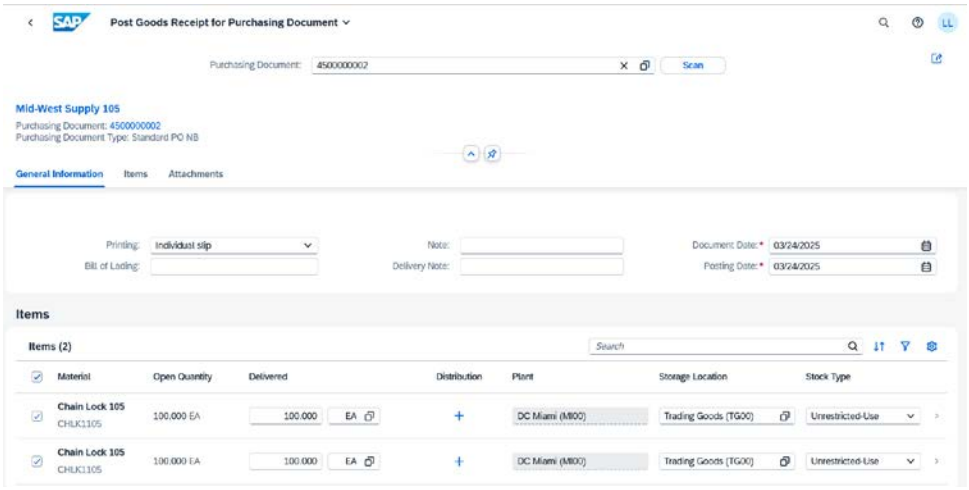
For goods receipt with reference to a purchase order, the system checks the following:

- Whether the correct material was delivered.
- Whether the correct quantity was delivered. (If there is no surplus or underdelivery)
- Whether perishable goods are within their minimum shelf life. (In this case, the shelf life expiration date check must be activated.)



For *Printing*, select **Individual slip**. If it is not filled automatically, select **TG00 (Trading Goods)** in the individual items for *storage location*.

Individual slip
TG00



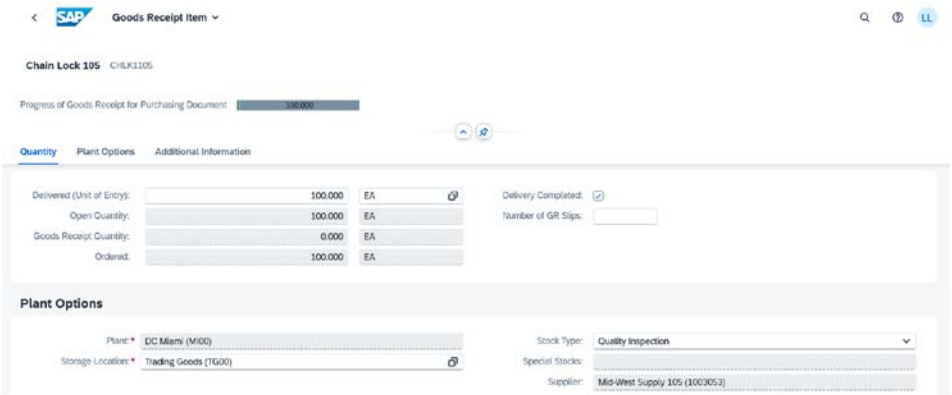
Since you have split your purchase order, you should see two lines with 100 pieces. In this step, we only process the first delivery. Therefore, click on the first row to check all entries.

Select the **Delivery Completed** checkbox.

X

Check that **Tradings Goods** is entered as the *storage location* and change the *stock type* to **Quality Inspection**.

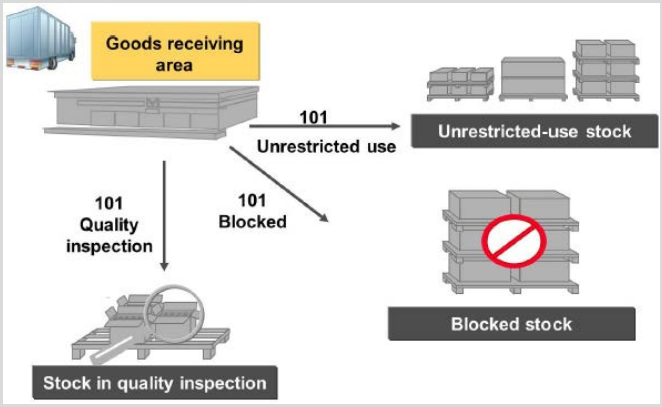
Trading goods
Quality Inspection



Now click Apply.

Note Inventory Management recognizes various stock types that indicate the usability of the material:

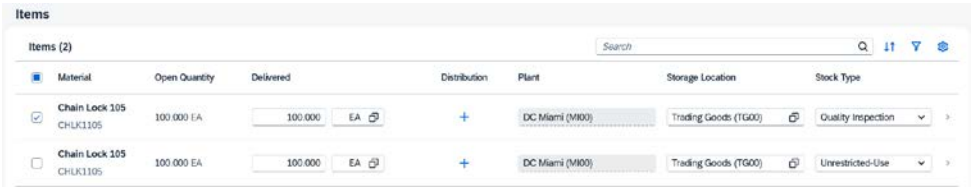
- unrestricted-use stock
- stock in quality inspection
- blocked stock



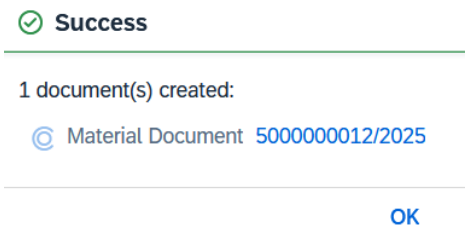
For goods receipts, you decide to which stock type a quantity is posted. The stock type is relevant for determining the available stock in material requirements planning (MRP) and for withdrawals in inventory management (see also Availability Check).

You can only post withdrawals for consumption from unrestricted-use stock. From quality inspection stock and blocked stock, you can only withdraw a sample, scrap a quantity, or post an inventory difference.

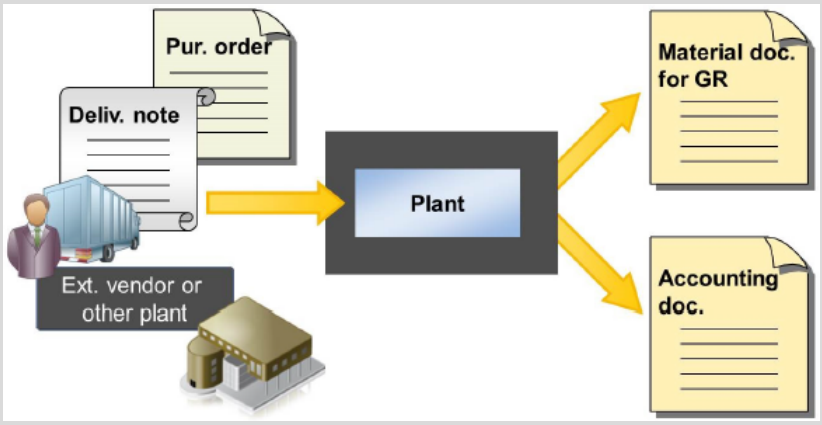
Leave the first line selected.



Click Post to post goods receipt of your material. You receive the following success message with your material document number.



Note When you post a goods receipt into one of the warehouses, the system generates a material document. This document contains information about the delivered material and the corresponding quantity. For stock items, the plant storage location is documented.



Close the message and click SAP to go to the SAP Fiori launchpad.

Step 13: Check Received Goods

Task Check the quality of the goods. **Time** 5 min

Description You must ensure that the goods have been delivered of the required quality. The goods are released for consumption.

Name (position) Sandeep Die (Warehouse Supervisor)

Please go to the *Materials Management* space. In the role of *Warehouse Supervisor* section, you can use the *Stock (Single Material)* app to perform a quality inspection of the goods.

Start

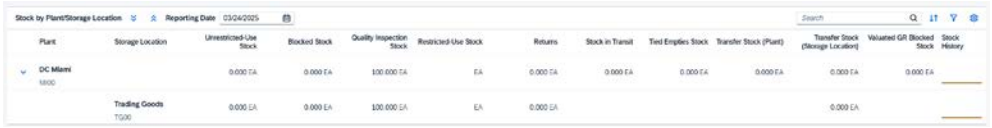


If it is not already selected, enter your material **CHLK1###**.

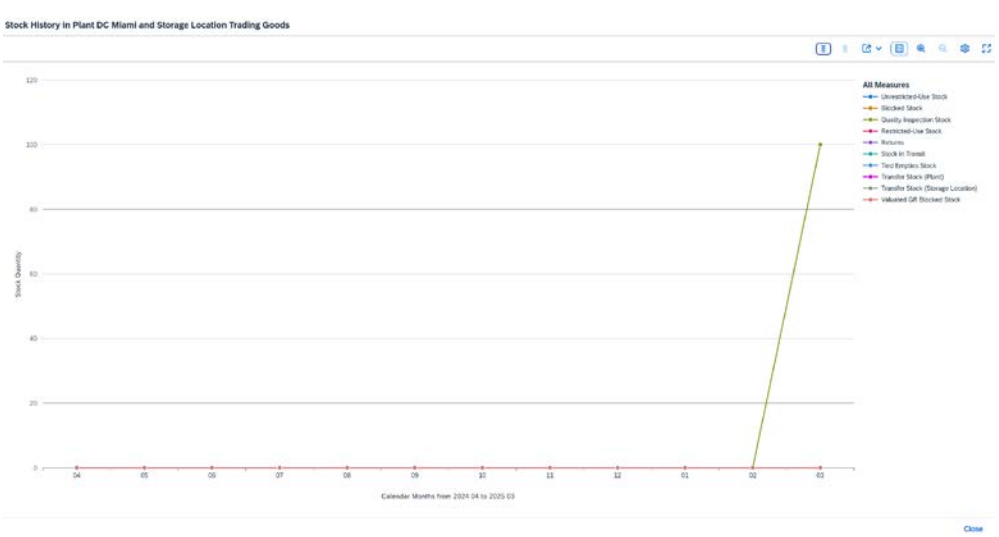
CHLK1###



In the previous step, you posted the received goods for quality inspection. Here you can see the 100 units of quality inspection stock.



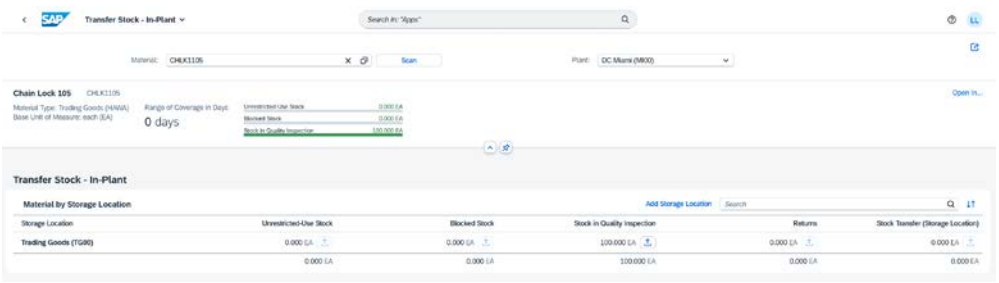
Click on the icon ——— in the *Stock History* column in the Trading Goods row.



You can only remove goods from unrestricted-use stock for consumption. Therefore, you have to transfer post the goods.

Note In reality, you would check whether the correct goods and quantity were delivered before posting them to unrestricted-use stock.

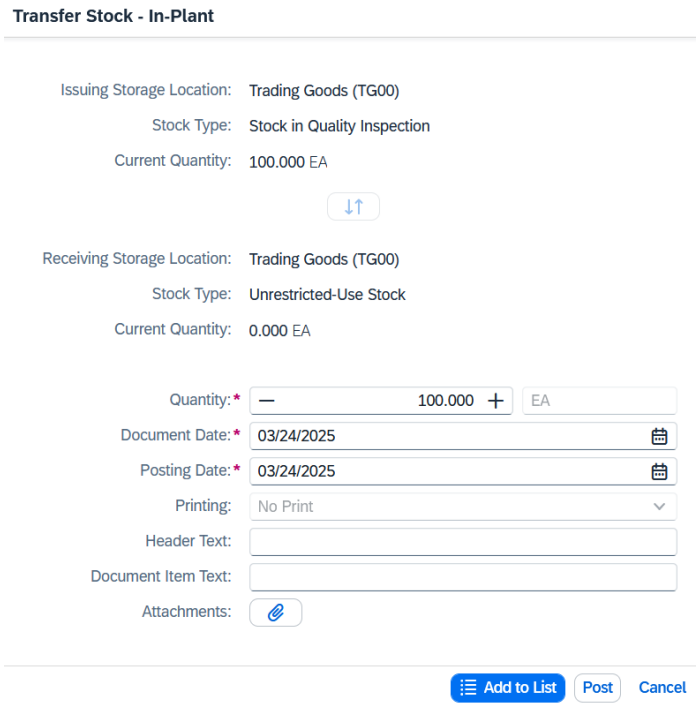
Select the row for storage location Trading Goods in the plant in Miami and click Transfer Stock - In-Plant.



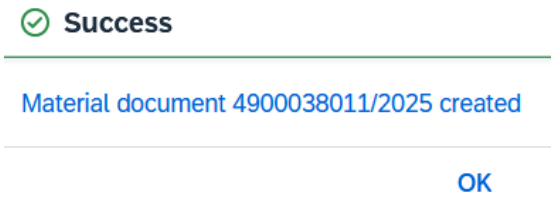
In the *Stock in Quality Inspection* column, click , next to the 100 units. The icon under *Unrestricted use stock* is now clickable. Click .

In the *Transfer Stock – In-Plant* window, increase the quantity to **100**.

100



Click Post. You receive a success message. The material has been transferred.



Close the message and click SAP to go to the SAP Fiori launchpad.

Step 14: Check Physical Goods Receipt

Task Confirm the physical receipt of the goods. **Time** 5 min

Description View the inventory of chain locks again. The stock overview gives you an overview of the stocks of a material across all organizational levels.

Name (position) Tatiana Karsova (Goods Receipt Clerk)

To check the stock level of a material, go to the *Materials Management* space. In the role of *Goods Receipt Clerk*, you can use the *Manage Stock* app. Start



From the drop-down menu, choose the **DC Miami (MI00)**. To find the material number from your chain lock, click in the Material field and then click the value help icon. MI00

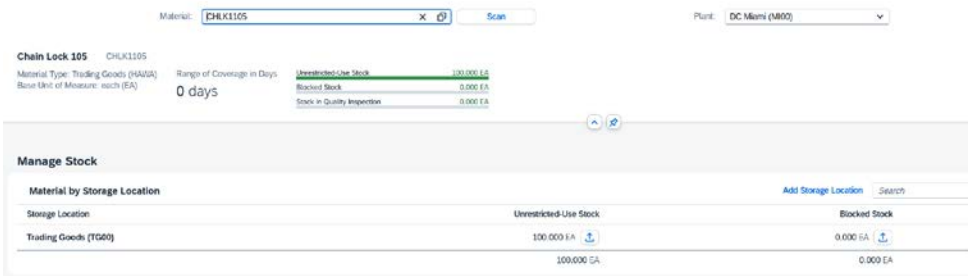
In the Search field, enter ***###** (for example, if your number is 002, enter *105). *###

Click Go to display the list of materials. Extend the Material Short Text field. Scroll down until you find your material **CHLK1###**. CHLK1###

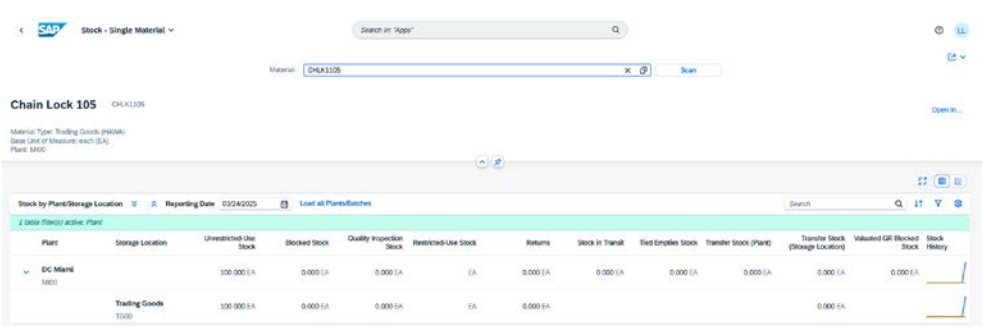
Items

Material	Material Des...	Batch	Plant	Plant Name	Material Type	Material Typ...	External Rep...	Product Hier...
CHLK1105	Chain Lock 1...		MI00	DC Miami	HAWA	Trading Goods	CHLK1105	

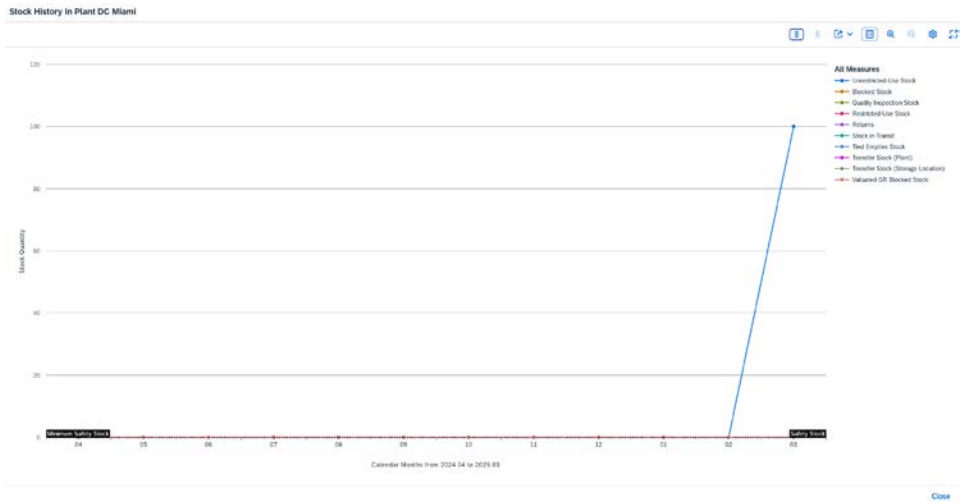
Double click on it. The report shows you the storage level for the DC in Miami.



You can find out more details about the stock of the chain lock. To do so, click Stock - Single Material. This will give you detailed information about the stock of the chain lock in the different plants.



Click on the icon at the DC Miami (MI00) plant to see detailed information about the stock of the chain lock in Miami. On the following screen, you can see a graphical overview.



Click SAP to go to the SAP Fiori launchpad.

Step 15: Create and Post the First Supplier Invoice

Task Create a supplier invoice. **Time** 5 min

Description Create a supplier invoice from Mid-West Supply for 3,200.00 USD for the current purchase order and the received goods.

This invoice is assigned to an existing expense account in the general ledger of your chart of accounts and saved as a payable to Mid-West Supply.

To facilitate data entry in the general ledger, the invoice is shown below.

Mid-West Supply

Mid-West Supply, P.O. Box 4523, 68518 Lincoln

Invoice **00504-###**

Global Bike Inc.
Trading Goods Miami
TG00 5341 Blue Lagoon Drive
Miami FL 33136

Date	06/01/2012
Accountin Clerk:	Addison Bennet
Order Number:	20417823410
Payment method:	invoice
Dispatch:	free delivery
Page:	1

Billing Date:
06/01/2012

Payment Date:
09/01/2012

Invoice

Dear Ms. Aura Maxwell,
Regarding your request, we hereby send you with the following invoice:

Position	Quantity	Description	Amount	Total Amount
		Invoice 00504-###		
1.1	100	CHLO1### Chain Lock	32.00	3,200.00 USD

Please transfer the total amount with reference to the invoice and specify the invoice number in the bank account listed below.

The goods remain our property until the complete amount is paid.
The delivery and accomplishment underlie our general terms and conditions.
We are constantly expanding our range of information on our website at www.mid-west-supply.com where you can get a quick overview of our service portfolio.

Mid-West Supply
335 W Industial Lake
68516 Lincoln, USA

Telephon: 555-0101
Telefax: 555-0143

www.mid-west-supply.com

Account Number. 100000
RTN: 435 222 956
Bank of America, Lincoln

BIC: BOALUSLIABC
IBAN: US22 8400 0000 0991 0044 01

Name (position) Silvia Cassano (AP Accountant)

To create a supplier invoice, please go to the *Materials Management* space. In the role of *AP Accountant*, you can use the *Create Supplier Invoice* app.

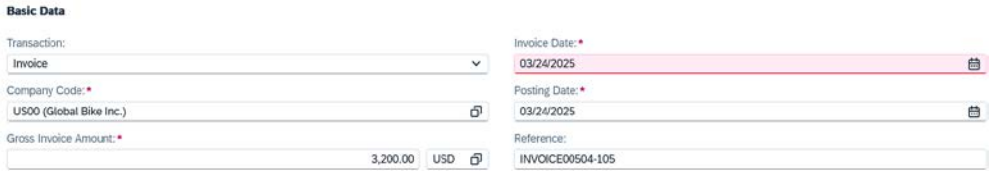
Start



On the Create Supplier Invoice screen, enter **today's date** as the *Invoice Date*. Check your *company code* **US00**. Enter the amount of the above invoice (**3,200.00**) in the *Gross Invoice Amount* field. Now enter **INVOICE00504-###** as *Reference*.

Today's date
US00

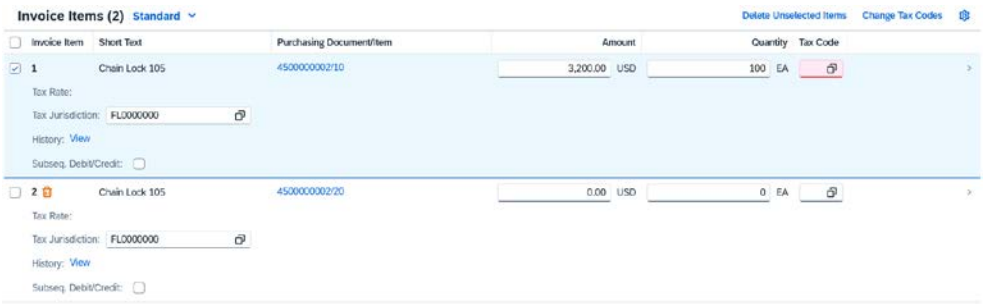
3,200.00
INVOICE00504-###



Go to the tab *Purchasing Document References*.

Now enter (or search for) the **number of your purchase order** in the *Purchase Order/Scheduling Agreement* field. Then press Enter. The Invoicing Party field has now been automatically filled with the number of your vendor.

Your purchase order number



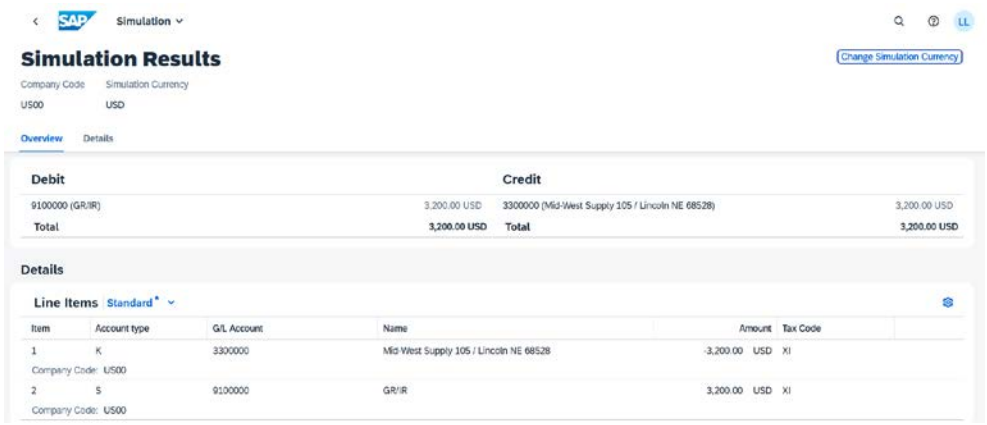
For the first invoice item, enter **XI** as the *Tax Code* and **TX0000000** as the *Tax Jurisdiction*.

XI
TX0000000

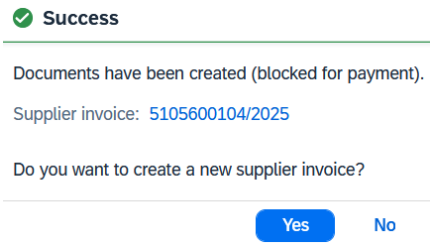
Scroll back to the top of the page. As you can see, the balance is 0.00 USD.



Then press Simulate to verify that your postings are correct.



Finally, press Post. The system will generate a unique supplier invoice number.



Close the message with **No** to return to the SAP Fiori launchpad.

Step 16: Display Purchase Order History

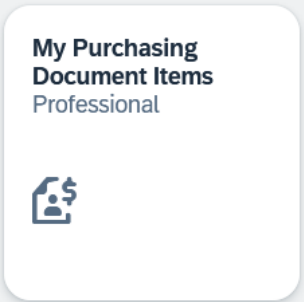
Task Display the purchase order history. **Time** 5 min

Description Review the status of your order of the chain locks. Due to the first transaction that was carried out for your purchase order number, the *Purchase Order Processing* tab page is now available in the purchase order.

Name (position) Wilton Saban (Inventory Supervisor)

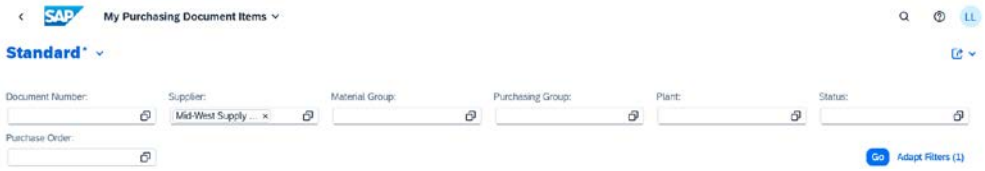
To display the purchase order history, go to the *Materials Management* space. In the role of *Inventory Supervisor*, you can use *My Purchasing Document Items (Professional)* app.

Start



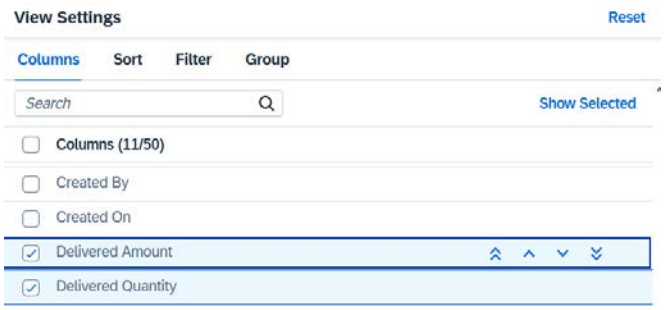
The app provides you with an overview of all purchase requisitions, purchase orders, goods receipts, and supplier invoices. In the Supplier field, enter your vendor **Mid-West Supply ###**.

Mid-West Supply ###

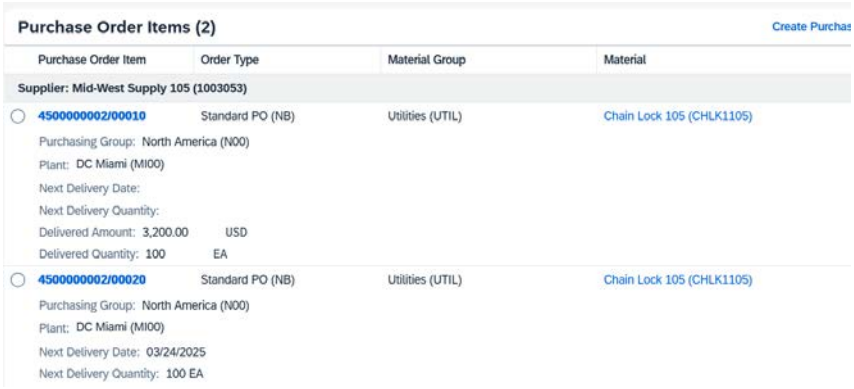


Choose Go and then choose the tab page Purchase Orders. You may need to scroll down to see your supplier and purchase order.

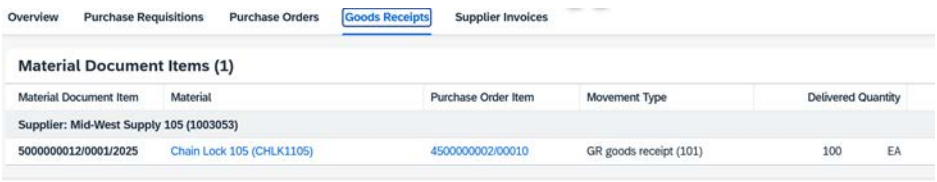
In the Purchase Order Items area, click ⚙ and select the *Delivered Quantity* and *Delivered Amount* columns in the *View Settings* dialog box.



Click OK. As you can see, the first item of the purchase order has been delivered for a delivery value of 3,200.00 USD.



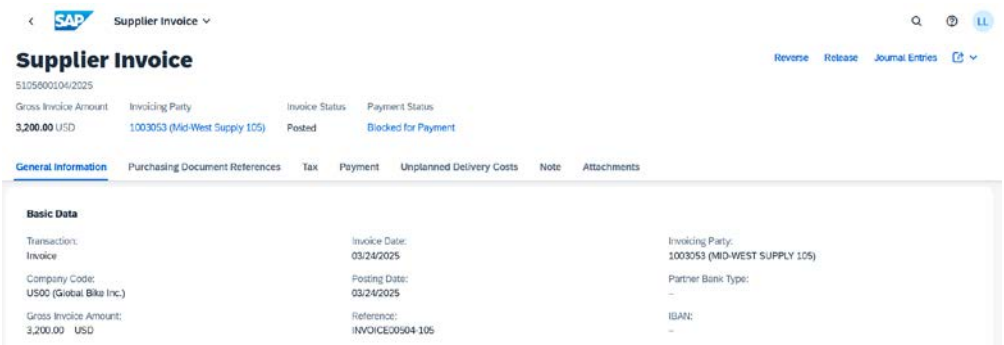
Now choose the tab page Goods Receipts. You can see the 100 delivered chain locks. You see the material document that was created in the system when you confirmed the goods receipt.



On the Supplier Invoices tab, you can see further activities that have been carried out with reference to your purchase order. Click Supplier Invoices.



The invoice has been created. Click on the invoice line of your chain lock. This will take you to the financial document that was created when you created the supplier invoice.



Click SAP to go to the SAP Fiori launchpad.

Step 17: Display Document Flow

Task Display the document flow. **Time** 5 min

Description Check the goods receipt document and the document flow of your material.

Name (position) Wilton Saban (Inventory Supervisor)

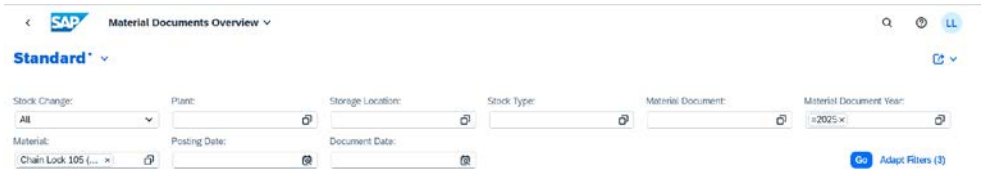
Start

To display the history of documents, please go to the *Materials Management* space. In the role of *Inventory Supervisor*, you can use the *Material Documents Overview* app.



CHLK1###

The app provides an overview of material documents. You can find your purchase order by using the assigned number. To do this, enter your material number **CHLK1###** in the *Material* field. If the search fields are not displayed in your system, first click to expand the search fields.



Stock Type (Stock Transfer)

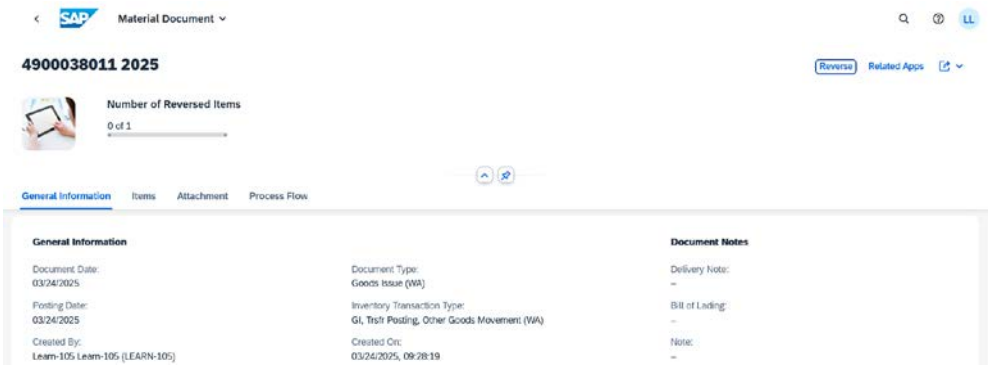
After entering the search term, click Go. Then click Settings. In the *view settings*, activate the **Stock Type (Transfer)** column. Confirm with OK.

A new material document is created for each material movement. You see two material documents with your material CHLK###. One is the document for the goods receipt into inspection stock. You also see a document that was generated by the transfer posting of the material to unrestricted-use stock.

Identify the line with the Stock Type (Transfer): Unrestricted-Use Stock (01).



Click on this line. You can now see the general information for the document from the step in which you confirmed the goods receipt.



Click the *Process Flow* tab. In the process flow, you can see the transfer posting of the material from stock to quality inspection to unrestricted-use stock.



Click SAP to go to the SAP Fiori launchpad.

Step 18: Post Goods Receipt for Purchase Order

Task Post a Goods Receipt for a Purchase Order. **Time** 5 min

Description You receive the missing goods that you ordered from Mid-West Supply into your warehouse. A goods receipt posting is created that refers to your purchase order. This ensures that you have received the ordered goods within the expected time and of the required quality. The stock is increased and a financial document is created that posts the value of the goods correctly.

Name (position) Tatiana Karsova (Goods Receipt Clerk)

To post the goods receipt, please go to the *Materials Management* space. In the role of *Goods Receipt Clerk*, you can use *Post Goods Receipt for Purchasing Document* app.

Start



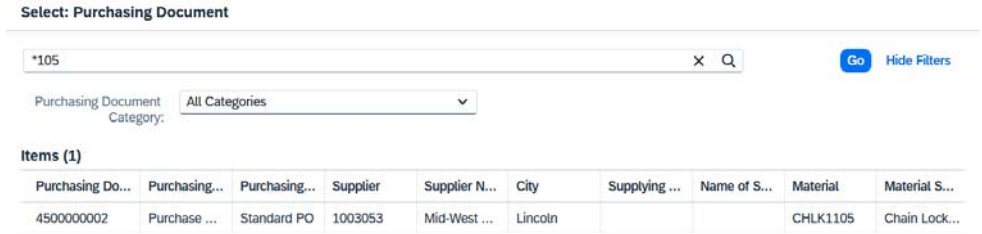
The *Post Goods Receipt for Purchasing Document* window appears.



Choose the **F4 help** in the *Purchasing Document* field.

Enter your number ***###** and click Go. Search for your material **CHLK1###**. You can see that you no longer see two purchase orders but only one open purchase order for your material.

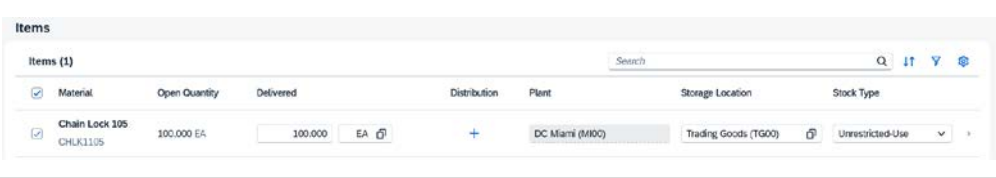
*###



Double-click the purchase order. The following screen appears. On the *Items* tab page, you should see only one row.

Make sure that for *Storage Location* **TG00 (Trading Goods)** and for *Stock Type* **Unrestricted use** is selected.

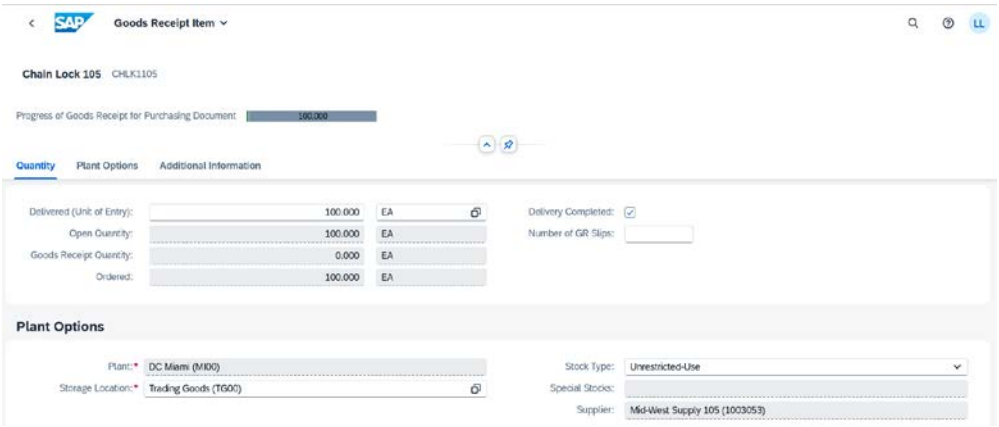
TG00
Unrestricted Use



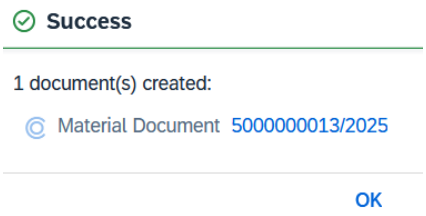
Note In step 12, you first posted the goods in quality inspection and then inspected them later. In this scenario, you inspect the goods directly at goods receipt so that you can use them directly.

Click on the item line of your chain lock to check all entries. Select the **Delivery Completed** checkbox.

Delivery Completed



Now click Apply. Select the line and click Post. You receive the following success message with your material document number.



Close the message and click SAP to go to the SAP Fiori launchpad.

Step 19: Check Physical Goods Receipt

Task Confirm the physical receipt of the goods. **Time** 5 min

Description View the inventory of chain locks again. The stock overview gives you an overview of the stocks of a material across all organizational levels.

Name (position) Tatiana Karsova (Goods Receipt Clerk)

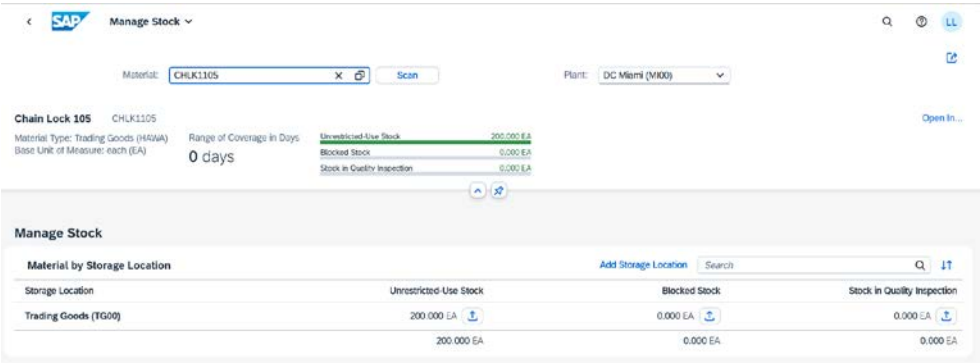
To check the stock level of a material, go to the *Materials Management* space. In the role of *Goods Receipt Clerk* section, you can use the *Manage Stock* app. Start



From the drop-down menu, choose the Miami *plant* **DC Miami** (**MI00**). To find the material number from your chain lock, click in the *Material* field and then click the value help icon . MI00

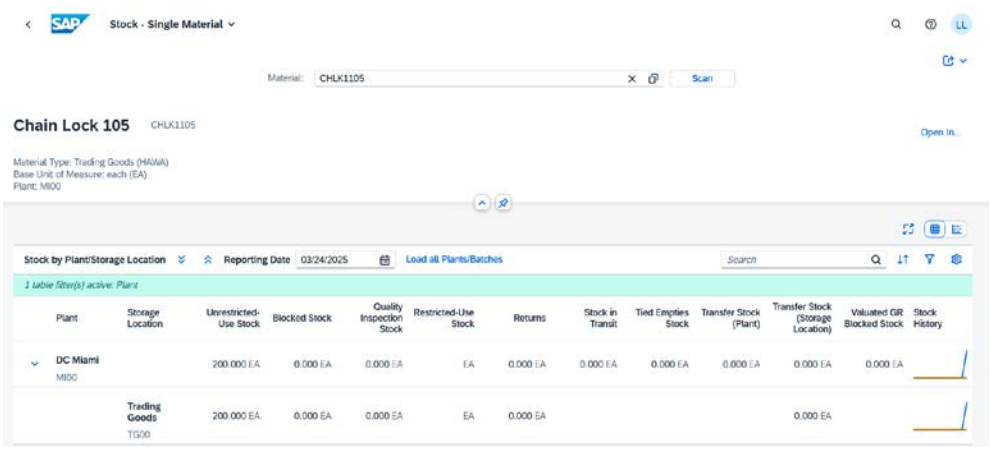
In the Search field, enter ***###** (for example, if your number is 105, enter *105). Click Go to display the list of materials. *###

Scroll down until you find your material **CHLK1###**. Double click on it. CHLK1###

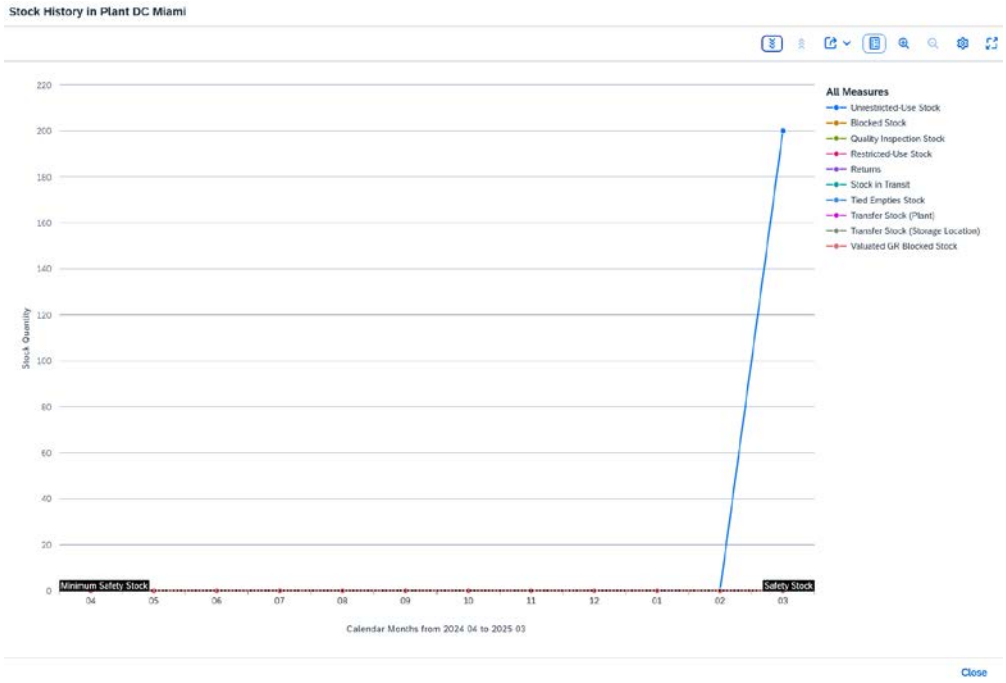


Since in the previous step the goods receipt was posted directly to unrestricted stock, you can see that the stock in this category has increased from 100 to 200.

You can find out more details about the stock of the chain lock. To do so, click Stock - Single Material. This will give you detailed information about the stock of the chain lock in the different plants.



Click ___/ to display the stock history for plant DC Miami (MI00) graphically. You can now see a graphical overview.



Since you currently only have unrestricted-use stocks, the remaining key figures are set to 0.

Close and then click SAP to go to the SAP Fiori launchpad.

Step 20: Create and Post the Second Supplier Invoice

Task Create a supplier invoice. **Time** 5 min

Description Create a supplier invoice from Mid-West Supply for USD 3,200.00 for the second partial delivery and the received goods. This invoice is also assigned to an existing expense account in the general ledger of your chart of accounts and saved as a payable to Mid-West Supply. Later, a check is issued for Mid-West Supply. To facilitate data entry in the general ledger, the invoice is shown below.

Dear Ms. Aura Maxwell,
Regarding your request, we hereby send you with the following invoice:

Position	Quantity	Description	Amount	Total Amount
		Invoice 00515-###		
1.1	10	CHLK1### Chain Lock	32.00	3,200.00 USD

Name (position) Silvia Cassano (AP Accountant)

To create a supplier invoice, please go to the *Materials Management* space. In the role of *AP Accountant*, you can use the *Create Supplier Invoice* app.

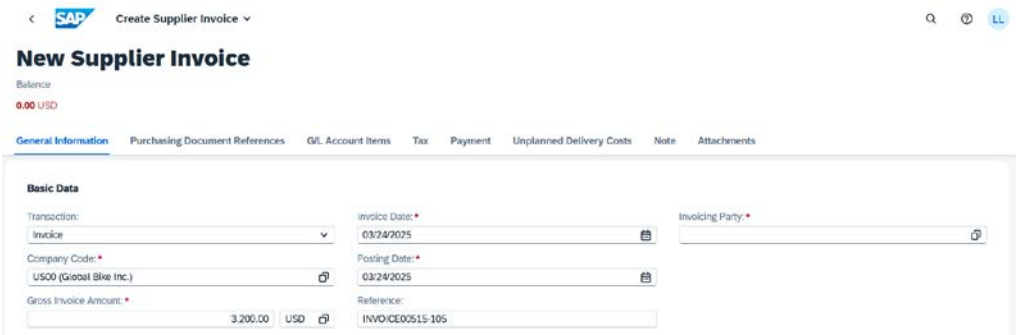
Start



On the *Create Supplier Invoice* screen, enter **today's date** as the *Invoice Date*. Verify that C*ompany Code* **US00** is selected. In the *Gross Amount* field, enter the amount of the invoice above (**3,200.00**). Enter **INVOICE00515-###** as the *reference*.

Today's date
US00

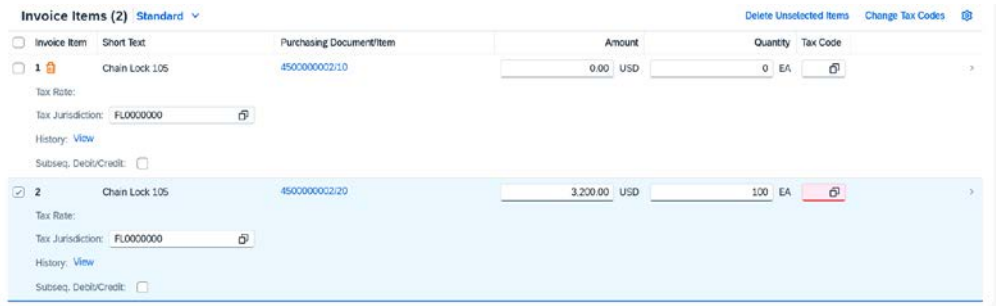
3,200.00
INVOICE00515-###



Choose the *Purchasing Document References* tab.

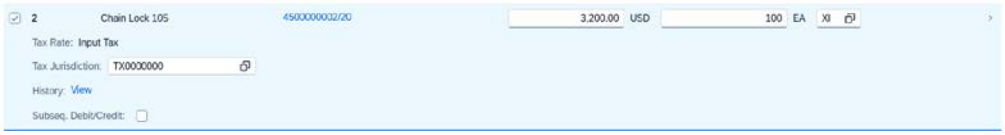
Now enter (or search for) the **number of your purchase order** in the *Purchase Order/Scheduling Agreement* field. Then press Enter. The Invoicing Party field has now been automatically filled with the number of your vendor.

Your purchase order number

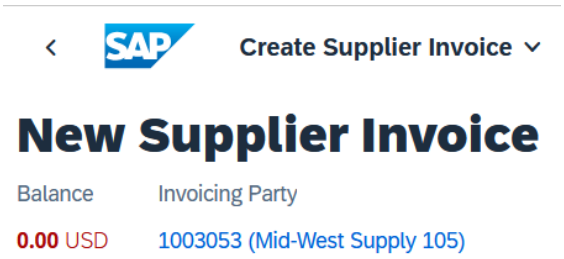


For the second item, enter **XI** as *the tax code* and **TX0000000** as the *tax jurisdiction*.

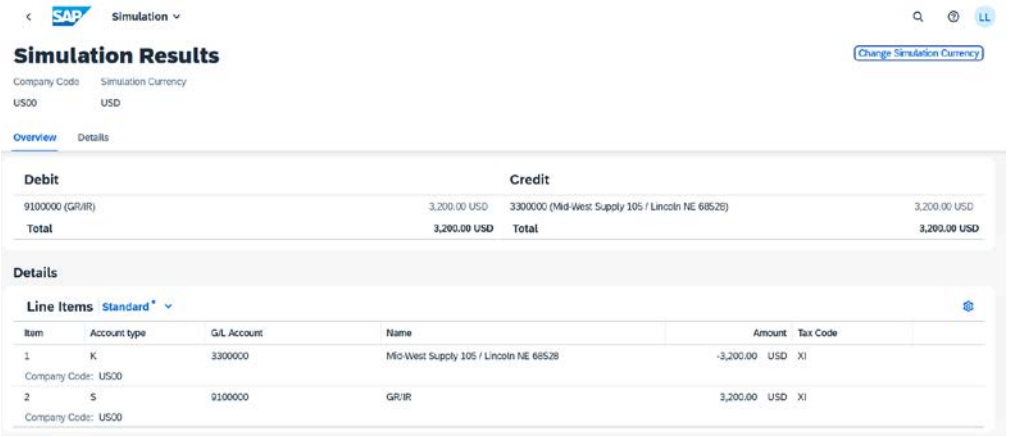
XI
TX0000000



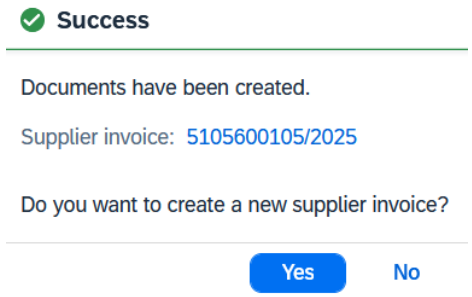
In the document header, you can see that the balance is 0.00.



Then press Simulate to verify that your postings are correct.



Finally, press Post. The system will generate a unique supplier invoice number.



Click No to go to the SAP Fiori launchpad.

Step 21: Post Outgoing Payment

Task Post the payments to a supplier. **Time** 5 min

Description Issue a payment to your supplier Mid-West Supply to pay your payables. Note that the total amount is for both of your invoices. The created posting will clear the liability from your bank account.

Name (position) Silvia Cassano (AP Accountant)

To post the payment to a supplier, go to the *Materials Management* space. In the role of *AP Accountant*, you can use the *Post Outgoing Payments* app.

Start

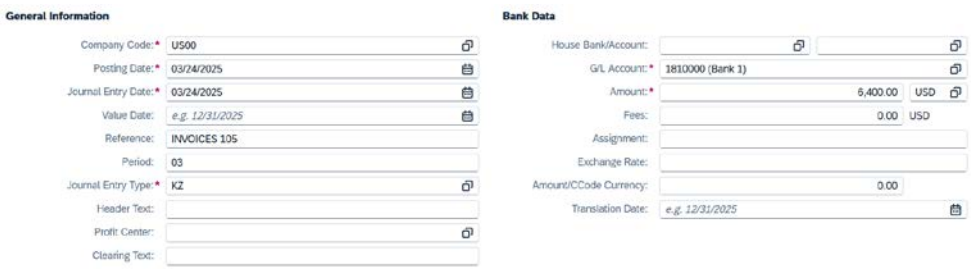


On the *Post Outgoing Payments* screen, choose Global Bike as the *company code* (**US00**). For *Posting Date* and *Journal Entry Date* enter **today's date**, for Reference **INVOICES ###**, and the **current period**. For *G/L account*, enter **1810000** (Bank 1) and the *Amount* **6,400.00 USD**.

US00
Current Date
INVOICES ###
Current Period
1810000
6,400.00 USD

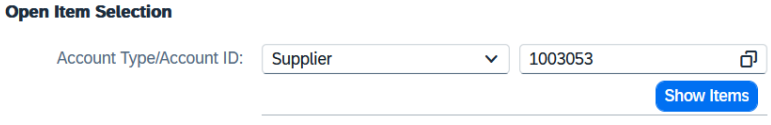
Ensure that the journal entry type **KZ (Vendor Payment)** is selected. Use the following screenshot to check your entries.

KZ (Vendor Payment)



Under *Open Item Selection*, enter your supplier number for **Mid-West Supply** as the account (if necessary, use the F4 help).

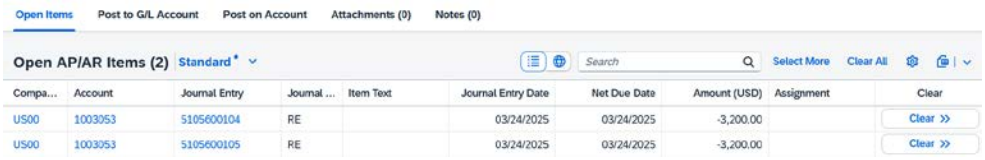
Mid-West Supply



Click Show Items. On the upper right, you can see that the open balance is USD 6,400.00.

Saldo: 6.400,00 USD

On the *Open Items* tab page, you see the two split deliveries.

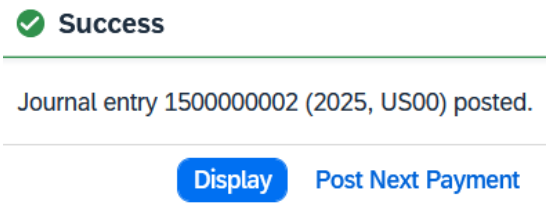


Since you want to pay both bills together, choose the button Clear » in both lines. Note that both items have been cleared.



The open balance is now USD 0.00. Balance: 0.00 USD

Press Post to post your payments to Mid-West Supply. The system will assign a unique document number to your supplier payment.



Press Display and click SAP to go to the SAP Fiori launchpad. Confirm any error messages.

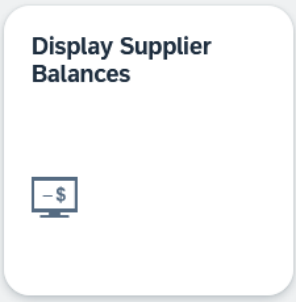
Step 22: Display Supplier Balance

Task Display the balances of a vendor. **Time** 5 min

Description View and confirm the activities and related balances related to your Mid-West Supply vendor. You should see a debit posting and a credit posting that were generated by the two invoices and the output of a single payment to settle the payables to Mid-West Supply.

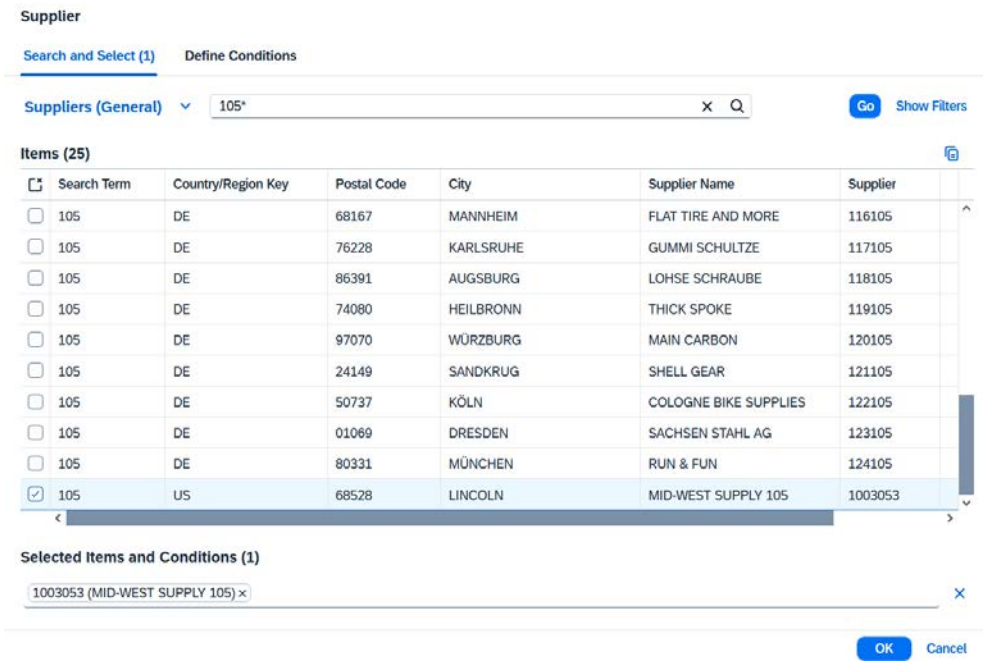
Name (position) Shuyuan Chen (Head of Accounting)

To display the balances of a vendor, please go to the *Materials Management* space. In the role of *Head of Accounting*, you can use the *Display Supplier Balances* app. Start



Use the in the Supplier field to find the number of your supplier. In the Search Term field, enter your number ###* and press Go. ###*

Scroll until you find your Supplier **Mid-West Supply**. Select the entry. Mid-West Supply

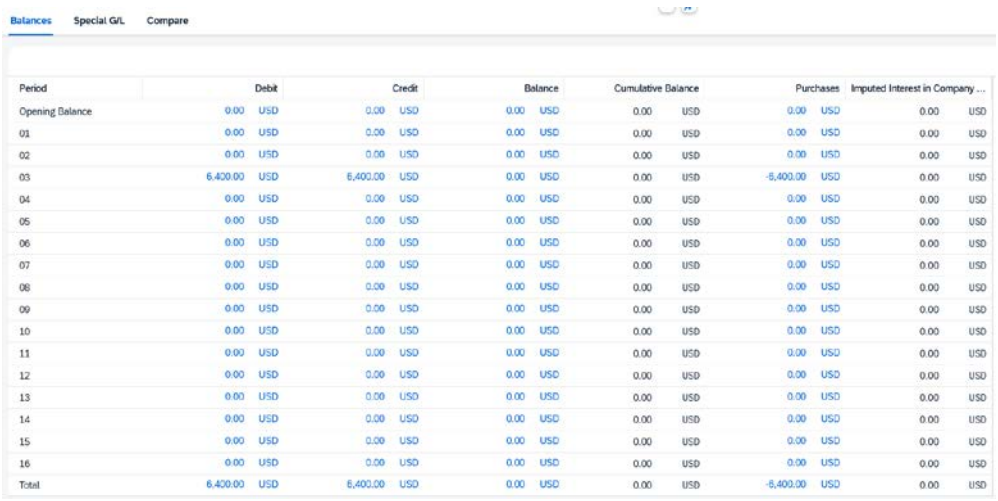


US00
Current Year

Confirm with OK. Back on the Display *Supplier Balances screen,* choose **US00** as the company code and **the current year** as the fiscal year.



Then choose Go to display the balances. You get a similar overview.



Period	Debit	Credit	Balance	Cumulative Balance	Purchases	Imputed Interest in Company ...
Opening Balance	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
01	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
02	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
03	6,400.00 USD	6,400.00 USD	0.00 USD	0.00 USD	-6,400.00 USD	0.00 USD
04	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
05	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
06	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
07	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
08	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
09	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
10	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
11	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
12	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
13	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
14	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
15	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
16	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD	0.00 USD
Total	6,400.00 USD	6,400.00 USD	0.00 USD	0.00 USD	-6,400.00 USD	0.00 USD

Click SAP to go to the SAP Fiori launchpad.

Step 23: Display Purchase Order History

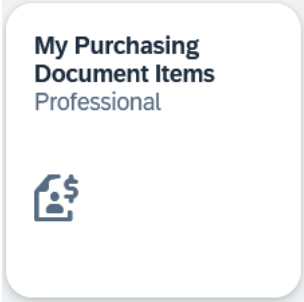
Task Display the purchase order history. **Time** 5 min

Description Review the status of your purchase order of the chain locks. The *Purchase Order History* tab page has been updated as a result of further postings.

Name (position) Wilton Saban (Inventory Supervisor)

To display the purchase order history, go to the *Materials Management* space. In the role of *Inventory Supervisor* section, you can use *My Purchasing Document Items (Professional)* app.

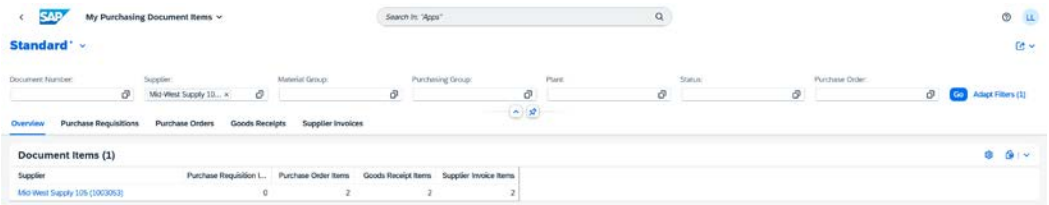
Start



The app provides you with an overview of all purchase requisitions, purchase orders, goods receipts, and supplier invoices.

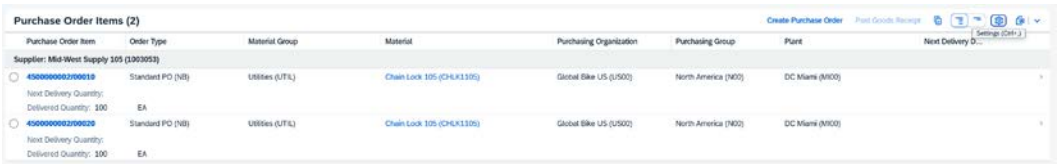
In the *Supplier* field, enter the number of your supplier **Mid-West Supply ###** and choose Go.

Mid-West Supply ###



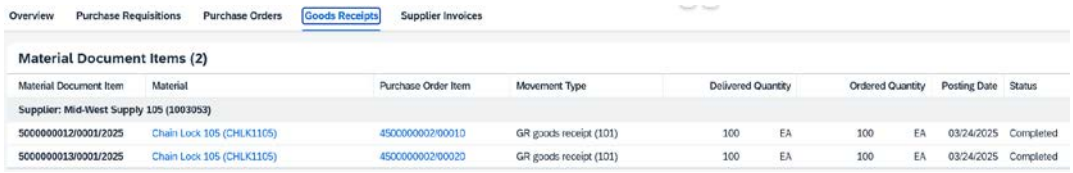
Click Purchase Orders. You may need to scroll down to see your supplier and purchase order.

In the *Purchase Order Items* section, click on ⚙ and select the column *Next Delivery Quantity* in the pop-up *View Settings*.



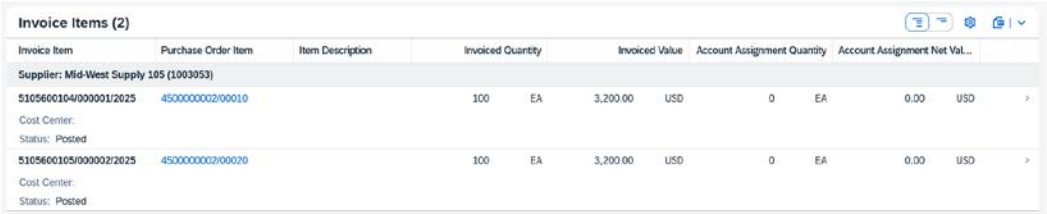
As you can see, no more open quantities are displayed under Next Delivery Quantity.

Click Goods Receipts. You see the other 100 delivered chain locks. You also see the material document that was created in the system when you confirmed the goods receipt.



In the *Supplier Invoice Overview*, you can see further activities that have been performed with reference to your purchase order.

Click Supplier Invoices. Both invoices have been created and have the status Posted.



To display more information about the documents, you can click on the relevant row. This will take you to the financial document that was created when you created the supplier invoice.

Click SAP to go to the SAP Fiori launchpad.

Step 24: Display account balances

Task Display the balance of the general ledger. **Time** 5 min

Description Use G/L account numbers to display the activities and related balances for some accounts in your general ledger.

Name (position) Shuyuan Chen (Head of Accounting)

To display the account balances, please go to the *Materials Management* space. In the role of *Head of Accounting*, you can use the *Balance Sheet/Income Statement* app.

Start

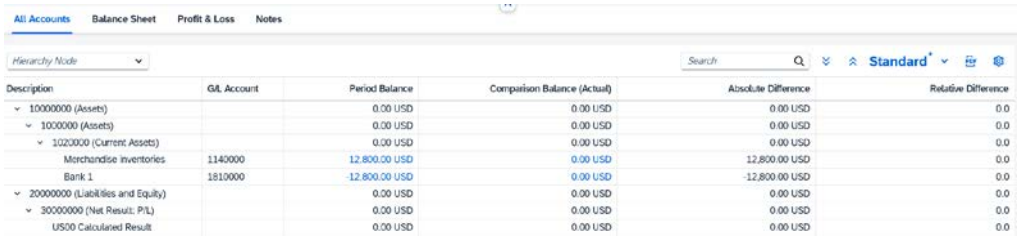


In the *Display Financial Statement* screen, enter **US00** (Global Bike) for *Company Code*, **0L** for *Ledger*, and **G000** for *Financial Statement Version*. Make sure that the *Balance Sheet Type* is **Normal (Actual - Actual)** and *End Period* is **current period/year** and *Comparison Period* is **1/2016**. Compare your screen with the following screenshot.

US00
0L
G000
Normal (Actual – Actual)
Current Period/Year
1/2016



Choose Go. In the view, you can see all items of the accounts of Global Bike in the United States.



Description	G/L Account	Period Balance	Comparison Balance (Actual)	Absolute Difference	Relative Difference
10000000 (Assets)		0.00 USD	0.00 USD	0.00 USD	0.0
1000000 (Assets)		0.00 USD	0.00 USD	0.00 USD	0.0
1020000 (Current Assets)		0.00 USD	0.00 USD	0.00 USD	0.0
Merchandise inventories	1140000	12,800.00 USD	0.00 USD	12,800.00 USD	0.0
Bank 1	1810000	-12,800.00 USD	0.00 USD	-12,800.00 USD	0.0
20000000 (Liabilities and Equity)		0.00 USD	0.00 USD	0.00 USD	0.0
30000000 (Net Result: P/L)		0.00 USD	0.00 USD	0.00 USD	0.0
US00 Calculated Result		0.00 USD	0.00 USD	0.00 USD	0.0

Note Since all participants in your course are posting to the same US bank account, the number you see next to the bank account 1810000 used might be different.

Description	G/L Account	Period Balance
10000000 (Assets)		0.00 USD
1000000 (Assets)		0.00 USD
1020000 (Current Assets)		0.00 USD
Merchandise inventories	1140000	12,800.00 USD
Bank 1	1810000	-12,800.00 USD

Click SAP to go to the SAP Fiori launchpad.

MM Challenge

Learning objective Understand and execute a Materials Management process. **Time** 80min

Motivation After you have successfully completed the Materials Management case study, you should be able to solve the following task independently.

Scenario A new chain closure, *Chain Lock Security Pro ###* (ger.: Kettenschloss Security Pro ###), is available on the market and we would like to include it in our inventory. The new chain closure with material number CHSP1### consists of a higher quality steel than the previous chain lock (CHLK1###), but the old one can still be used as a template because it has the same properties. The new material is intended for plant MI00, sales organization UE00, and distribution channel WH. With modern production techniques, the new material CHSP1### is also offered more cheaply by the suppliers. Global Bike passes the savings on to its customers. Maintain the chain lock and set the inventory price to 30.00 USD per chain lock. Request offers for 300 chain locks of security pro with a valuation price of 30.00 USD. Based on your request of 300 pieces, *Boomtown Tire & Wheel (102###)* is offering 26.00 USD per piece and *Space Bike Composites (105###)* of 25.50 USD per piece. Enter both quotations and accept the best quotation and order the requested 300 chain locks. Process the inbound delivery and enter the incoming invoice. You then pay for the delivery.

Note Since this task is based on the Materials Management case study, you can use it as a guide. However, we recommend that you carry out this continuing task without assistance to test your acquired knowledge.

